A/80/5/Add.10

United Nations

United Nations Office on Drugs and Crime

Financial report and audited financial statements

for the year ended 31 December 2024

and

Report of the Board of Auditors

General Assembly
Official Records
Eighty Session
Supplement No. 5J

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Eightieth Session
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Report of the Board of Auditors

United Nations • New York, 2025

Note

Symbols of United Nations documents are composed of letters combined with figures. Mention of such a symbol indicates a reference to a United Nations document.

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Letters of transmittal

Letter dated 31 March 2025 from the Executive Director of the United Nations Office on Drugs and Crime addressed to the Chair of the Board of Auditors

In accordance with United Nations Office on Drugs and Crime financial rule 406.3, I have the honour to transmit the financial statements of the United Nations Office on Drugs and Crime for the year ended 31 December 2024, which I hereby approve.

Copies of these financial statements are also being transmitted to the General Assembly through the Advisory Committee on Administrative and Budgetary Questions.

(*Signed*) Ghada Fathi Ismail **Waly**
Executive Director
United Nations Office on Drugs and Crime

Letter dated 23 July 2025 from the Chair of the Board of Auditors addressed to the President of the General Assembly

I have the honour to transmit to you the report of the Board of Auditors, together with the financial report and the audited financial statements of the United Nations Office on Drugs and Crime for the year ended 31 December 2024.

(*Signed*) Pierre **Moscovici**
First President of the French Cour des comptes
Chair of the Board of Auditors

Chapter I

Report of the Board of Auditors on the financial statements: audit opinion

Opinion

We have audited the financial statements of the United Nations Office on Drugs and Crime (UNODC), which comprise the statement of financial position (statement I) as at 31 December 2024 and the statement of financial performance (statement II), the statement of changes in net assets (statement III), the statement of cash flows (statement IV) and the statement of comparison of budget and actual amounts (statement V) for the year then ended, as well as the notes to the financial statements, including a summary of significant accounting policies.

In the Board's opinion, the financial statements present fairly, in all material respects, the financial position of UNODC as at 31 December 2024 and its financial performance and cash flows for the year then ended, in accordance with the International Public Sector Accounting Standards (IPSAS).

Basis for opinion

We conducted our audit in accordance with the International Standards on Auditing and the International Standards of Supreme Audit Institutions. Our responsibilities under those standards are described in the section entitled "Auditor's responsibilities for the audit of the financial statements". We are independent of UNODC in accordance with the ethical requirements relevant to our audit of the financial statements, and we have fulfilled our other ethical responsibilities in accordance with those requirements. We believe that the audit evidence that we have obtained is sufficient and appropriate to provide a basis for our opinion.

Information other than the financial statements and the auditor's report thereon

Management is responsible for the other information, which comprises the financial report for the year ended 31 December 2024, contained in chapter IV, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information, and we do not express any form of assurance thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, on the basis of the work that we have performed, we conclude that there is a material misstatement in the other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of management and those charged with governance for the financial statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IPSAS and for such internal control as management determines to be necessary to enable the preparation of financial statements that are free from material misstatement, whether owing to fraud or error.

In preparing the financial statements, management is responsible for assessing the ability of UNODC to continue as a going concern, disclosing, as applicable, matters related to the going concern and using the going-concern basis of accounting unless management intends either to liquidate UNODC or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the financial reporting process of UNODC.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance as to whether the financial statements as a whole are free from material misstatement, whether owing to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with the International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with the International Standards on Auditing, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

(a) Identify and assess the risks of material misstatement in the financial statements, whether owing to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than the risk of not detecting one resulting from error, as fraud may involve collusion, forgery, intentional omission, misrepresentation or the overriding of internal control;

(b) Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal control of UNODC;

(c) Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management;

(d) Draw conclusions as to the appropriateness of management's use of the going-concern basis of accounting and, on the basis of the audit evidence obtained, whether a material uncertainty exists in relation to events or conditions that may cast significant doubt on the ability of UNODC to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the

audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause UNODC to cease to continue as a going concern;

(e) Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on other legal and regulatory requirements

In our opinion, the transactions of UNODC that have come to our notice or that we have tested as part of our audit have, in all significant respects, been in accordance with the Financial Regulations and Rules of the United Nations and legislative authority.

In accordance with article VII of the Financial Regulations and Rules of the United Nations, we have also issued a long-form report on our audit of UNODC.

(*Signed*) Pierre **Moscovici**
First President of the French Cour des comptes
Chair of the Board of Auditors

(*Signed*) Vital **do Rego Filho**
President of the Brazilian Federal Court of Accounts
(Lead Auditor)

(*Signed*) **Hou** Kai
Auditor General of the People's Republic of China

23 July 2025

Chapter II
Long-form report of the Board of Auditors

Summary

The United Nations Office on Drugs and Crime (UNODC) was established, in general terms, to implement the Organization's drug and crime programmes in an integrated manner, addressing the interrelated issues of drug control, crime prevention and international terrorism in the context of sustainable development and human security (see ST/SGB/2004/6).

The Board of Auditors has audited the financial statements and reviewed the operations of UNODC for the year ended 31 December 2024. The interim audit was carried out through a combination of remote and field work at UNODC headquarters in Vienna from 16 September to 22 November 2024, at the UNODC Country Office for Latin America and the Caribbean, in Brasília, from 24 February to 28 February 2025 and at the UNODC Regional Office for Andean Region and Southern Cone, in Bogotá, from 17 March to 28 March 2025. The final audit of the financial statements was carried out at UNODC headquarters from 1 April to 2 May 2025.

Audit opinion

In the Board's opinion, the financial statements present fairly, in all material respects, the financial position of UNODC as at 31 December 2024 and its financial performance and cash flows for the year then ended, in accordance with IPSAS.

Overall conclusion

The Board did not identify significant errors, omissions or misstatements from the review of the financial records of UNODC for the year ended 31 December 2024. However, the Board identified scope for improvement in the areas of project management, liquidity challenges, implementing partners, property, plant and equipment, and accruals.

Key findings

The Board's key findings are as follows:

Opportunities to strengthen programme monitoring tools and practices

The Board identified some limitations in the implementation of monitoring practices within selected programmes managed at UNODC headquarters, the Regional Office for the Andean Region and Southern Cone, and the Country Office for Latin America and the Caribbean. The observations, which relate to both system constraints and operational practices, were noted in a sample of 33 ongoing programmes in 2023 (reported in 2024), representing a total budget allocation of $282 million, which corresponds to 65.31 per cent of the total expenditure of the Office in 2023. The limitations were linked primarily to the configuration and usability of the Integrated Planning, Management and Reporting solution platform, which was not always aligned with the operational and reporting needs of project managers.

Lack of written guidelines for releasing full advance payments to partners

In 2024, 97 of 220 partnership agreements were structured as single-instalment arrangements, and full disbursement was made upon the initial payment request. Those transfers were made prior to the submission of any contractual deliverables and without documented evidence of the progress made in implementation. The Board noted the absence of formal internal guidelines governing such practices.

Main recommendations

On the basis of its audit findings, the Board recommends that UNODC:

(a) **Enhance programme monitoring in synergy with the Integrated Planning, Management and Reporting solution, organizing information by thematic area and responsible unit, aligning it with the UNODC organizational structure and enhancing oversight capabilities;**

(b) **Establish or update internal guidelines with specific guidance for agreements involving single-instalment payments, in order to increase the likelihood that deliverables will be completed.**

Follow-up of previous recommendations

The Board noted 25 outstanding recommendations up to the year ended 31 December 2023, of which 11 (44 per cent) had been fully implemented, 12 (48 per cent) were under implementation and 2 (8 per cent) had not been implemented.

Key facts	
150	Countries and territories supported
3,089	Total workforce
$576.71 million	Revenue in 2024
$484.80 million	Expenses in 2024
$91.91 million	Surplus for the year
$1,539.77 million	Assets
$419.99 million	Liabilities
$1,119.78 million	Net assets
$483.80 million	Actual extrabudgetary resources in 2024
$25.20 million	Actual regular budget in 2024

A. Mandate, scope and methodology

1. The United Nations Office on Drugs and Crime (UNODC) was established, in general terms, to implement the Organization's drug and crime programmes in an integrated manner, addressing the interrelated issues of drug control, crime prevention and international terrorism in the context of sustainable development and human security (see ST/SGB/2004/6). The Office receives contributions from the United Nations regular budget and is supported by voluntary contributions from Governments, intergovernmental organizations, foundations and other non-governmental sources.

2. The Board of Auditors audited the financial statements of UNODC and reviewed its activities for the year ended 31 December 2024, in accordance with General Assembly resolution 74 (I) of 1946. The audit was conducted in conformity with the Financial Regulations and Rules of the United Nations and the Financial Rules of the Fund of the United Nations International Drug Control Programme and of the Fund of the United Nations Crime Prevention and Criminal Justice Programme, as well as the International Standards on Auditing and the International Standards of Supreme Audit Institutions. Those standards require the Board to comply with ethical requirements and plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free from material misstatements.

3. The audit was conducted to enable the Board to form an opinion as to whether the financial statements presented fairly the financial position of UNODC as at 31 December 2024, and its financial performance and cash flows for the same year were in accordance with the International Public Sector Accounting Standards (IPSAS). This included an assessment as to whether the expenditure recorded in the financial statements had been incurred for the purposes approved by the governing bodies and whether revenue and expenses had been properly classified and recorded in accordance with the Financial Regulations and Rules of the United Nations.

4. The audit included a general review of financial systems and internal controls and a test examination of the accounting records and other supporting evidence to the extent that the Board considered necessary to form an opinion on the financial statements.

5. The Board also reviewed UNODC operations pursuant to financial regulation 7.5 of the Financial Regulations and Rules of the United Nations, according to which the Board may make observations with respect to the efficiency of the financial procedures, the accounting system, the internal financial controls and, in general, the administration and management of UNODC operations.

6. The present report covers matters that, in the opinion of the Board, should be brought to the attention of the General Assembly. The Board's observations and conclusions were discussed with UNODC management, whose views have been appropriately reflected in the report.

B. Findings and recommendations

1. Follow-up of previous recommendations

7. The Board noted 25 outstanding recommendations up to the year ended 31 December 2023, of which 11 (44 per cent) had been fully implemented, 12 (48 per cent) were under implementation and 2 (8 per cent) had not been implemented.

8. The Board carried out an analysis of the 14 outstanding recommendations up to the year ended 31 December 2024 and noted that 5 (37 per cent) were related to project management, 3 (21 per cent) were related to travel, 2 (14 per cent) were related to human resources management and 1 each (7 per cent) was related to implementing partners, procurement, cost recovery and information technology security services.

9. With regard to the ageing of the above-mentioned 14 outstanding recommendations, 3 (21 per cent) were pending for more than three years, 4 (29 per cent) remained open for three years, 3 (21 per cent) were two years old and 4 (29 per cent) were issued one year ago.

10. Details of the status of implementation of the previous years' recommendations are presented in the annex to chapter II.

2. Financial overview

Financial performance

11. As at 31 December 2024, total revenue amounted to $576.71 million (2023: $529.42 million), while total expenses for the same period reached $484.80 million (2023: $451.51 million). Consequently, the surplus increased by $14 million, from $77.91 million in 2023 to $91.91 million in 2024.

12. Of the total revenue reported, an amount of $460.81 million (2023: $423.99 million) was derived from non-exchange transactions, highlighting the continued dependence of UNODC on voluntary contributions from Member States and other donors. By contrast, the United Nations regular budget contribution constituted the smallest share of total revenue, amounting to $37.18 million in 2024 (2023: $34.66 million).

13. Total expenses increased by 7.37 per cent, rising from $451.51 million in 2023 to $484.80 million in 2024 in line with the growth in revenue. The increase was driven primarily by higher expenditure under the employee salaries, allowances and benefits component, which rose by 10.48 per cent (from $161.88 million in 2023 to $178.85 million in 2024). A further contributing factor was the growth in other operating expenses, which increased by 8.88 per cent, from $101.06 million in 2023 to $110.03 million in 2024.

Financial position

14. As at 31 December 2024, the two principal components of the UNODC asset base were investments, which amounted to $1,044.09 million (2023: $907.38 million), and receivables (comprising voluntary contributions and other receivables), which totalled $325.84 million (2023: $313.92 million).

15. In addition, the total liabilities of UNODC amounted to $419.99 million (2023: $376.75 million) as at 31 December 2024. The largest component comprised conditional liabilities of $204.15 million (2023: $153.36 million), arising primarily from conditional arrangements under agreements with the European Commission. The second-largest component related to employee benefits, which totalled $132.25 million (2023: $134.09 million).

Financial ratios

16. The Board's review of key financial ratios (see table II.1) confirmed that UNODC continued to demonstrate a strong financial position as at 31 December 2024. The ratio of total assets to total liabilities stood at 3.67 (2023: 3.70). The current ratio declined to 5.17 in 2024 (2023: 5.44). The quick ratio fell to 5.01 (2023: 5.28). The cash ratio also decreased to 4.12 in 2024 (2023: 4.28).

17. It is important to highlight that these key financial ratios are influenced significantly by the two main components of the UNODC asset base (investments and receivables), more than 99 per cent of which are earmarked for specific purposes.

Table II.1
Ratio analysis

Ratio	*31 December 2024*	*31 December 2023*
Total assets: total liabilities		
Assets: liabilities	3.67	3.70
Current ratio		
Current assets: current liabilities	5.17	5.44
Quick ratio		
(Cash + short-term investments + accounts receivable): current liabilities	5.01	5.28
Cash ratio		
(Cash + short-term investments): current liabilities	4.12	4.28

Source: UNODC financial statements.

Suspension of assistance from a Member State (event after the reporting date)

18. In January 2025, UNODC received notifications from government counterparts of a Member State regarding a 90-day suspension of assistance to reevaluate the country's international funding priorities. The Member State is a significant contributor to the Office, providing approximately 30 per cent of the organization's total voluntary funding in 2024. While the pause in funding represented a material event, it is not expected to have a long-term impact on the entity's financial stability or operational capacity. A more detailed assessment is provided under note 32 to the financial statements.

3. Project management

Opportunities to strengthen programme monitoring tools and practices

19. The Board identified issues concerning programme monitoring in 2023, which were reported in 2024, across 33 selected programmes managed at UNODC headquarters, the Regional Office for the Andean Region and Southern Cone and the Country Office for Latin America and the Caribbean in Brazil:

(a) Among the 33 programmes reviewed, 6 had no measurements conducted for all or most of the indicators and 1 had no outcome indicators;

(b) Of the 27 programmes in which monitoring was substantively conducted, 10 experienced delays in monitoring, ranging from one day to as long as seven months, and 2 lacked approvals for all or most of the measured indicators.

20. Collectively, the programmes represented a total 2024 budget allocation of $282 million.

21. In addition, a review of the Integrated Planning, Management and Reporting solution dashboard (within Umoja Analytics), which is accessible across the entire Secretariat, revealed misalignments with UNODC internal practices. This mismatch makes it difficult to standardize references to programmes and to search for data specific to each programme. Moreover, the design of the dashboard neither fully aligned with the Office's structure, lacking filters to distinguish programmes between headquarters and field offices, nor adequately reflected the various programme levels (global, regional and country-specific).

22. UNODC stated that the misalignment was because Secretariat entities were managing various portfolios and that project management practices subsequently differed across the Organization. The project manager's dashboard will therefore not always be aligned with the project management practices of some entities, as is the case for UNODC.

23. The Board considers that the monitoring gaps identified may be explained in part by programme managers not consistently perceiving the Integrated Planning, Management and Reporting solution as meeting their immediate operational and decision-making needs. This perception may be influenced by several factors. Programme managers often coordinate multiple reporting obligations, including mandatory donor-specific reports, and may view the solution as just one more platform among many competing priorities.

24. It is also important to note that the Board reviewed the effectiveness of resolving monitoring issues by analysing the 2022 and 2023 annual project progress reports. As a positive example, programmes that were effectively monitored, such as the Container Control Programme and the Global Programme on Preventing and Countering Terrorism, demonstrated a strong capacity to address issues in a timely manner, and the majority of significant concerns were resolved within the span of a year.

25. In this context, monitoring the programmes in a way that enhances data integration and visualization capabilities – in synergy with the Integrated Planning, Management and Reporting solution – would allow representatives and section chiefs to easily gain a holistic view of their entire programme portfolio.

26. The Board is of the view that programme managers would benefit from rationalizing and linking the Integrated Planning, Management and Reporting solution data with other systems, thereby streamlining their reporting tasks and ensuring more coherent, integrated insights. Improved visualization options, including geographical mapping and hierarchical filtering by outcome, output and

donor contributions, would provide a more intuitive and actionable understanding of programme performance.

27. **The Board recommends that UNODC enhance programme monitoring in synergy with the Integrated Planning, Management and Reporting solution, organizing information by thematic area and responsible unit, aligning it with the UNODC organizational structure and enhancing oversight capabilities.**

28. UNODC accepted the recommendation.

Gaps in programme monitoring and tool coordination

29. The UNODC project management guide and the United Nations Integrated Planning, Management and Reporting solution manual designate the solution as the mandatory platform for monitoring project indicators, encompassing objectives, outcomes and outputs. As explicitly stated in the guide dated 26 January 2024, "As monitoring entries are required for the completion of the annual project progress reports, it is mandatory to update the information in the monitoring tool at least once per year. Typically, this should be done in January or February of the following year (e.g. January 2023 for all 2022 monitoring results). It is however recommended to update information in the monitoring application on a quarterly basis".

30. Feedback from project managers and senior staff at the three offices visited (UNODC headquarters, the Regional Office for the Andean Region and Southern Cone and the Country Office for Latin America and the Caribbean) consistently highlighted shortcomings in using the Integrated Planning, Management and Reporting solution for daily operations:

(a) The consolidated data in the Integrated Planning, Management and Reporting solution did not effectively support reporting based on criteria beyond the project logframe, such as thematic, geographical or other categorization, which were frequently required for donor reporting in UNODC;

(b) The solution's project management capabilities did not always align with the operational needs of project managers, given that the system applied the same level of detail across global, regional and national projects;

(c) Access to the solution, including view-only profiles, was restricted to personnel with specific roles in the solution.

31. The Board considers that observations from project managers and senior staff indicate that many limitations, such as insufficient granularity and a design intended for the entire United Nations Secretariat, have led to a diminished perceived value of the Integrated Planning, Management and Reporting solution among project managers.

32. As previously noted by management, the disconnection is due mainly to the fact that the Integrated Planning, Management and Reporting solution and the dashboard have been developed for the entire Secretariat and that the system's design does not align with the unique project structure and funding model of UNODC. The managerial response also highlighted that the monitoring gaps stemmed in large part from the way in which UNODC managed projects – through large umbrella programmes – and how the system failed to support the specific reporting needs associated with donor funding.

33. A further review revealed that some organizational units of UNODC had already begun to address those shortcomings. During the visit to the Regional Office, it was noted that an internal system called *Sistema de Análisis, Ejecución y Seguimiento* (ANDES) was being developed. It is designed to support project managers in recording activities and providing a strategic overview across the office's projects, in line with the UNODC strategic vision for Latin America and the Caribbean.

34. Similarly, discussions with the Strategic Planning and Inter-Agency Affairs Unit revealed that the Division for Treaty Affairs employed the United Nations System Chief Executives Board for Coordination activity tracking system within the Global Programme to Prevent and Combat Corruption through Effective Implementation of the United Nations Convention against Corruption in Support of Sustainable Development Goal 16 (GLOZ99). This tracking system, which was already operational, shares significant similarities with the system of analysis, execution and monitoring project and offers strong usability and customization for programme monitoring, showcasing the potential benefits of adopting a similar tool across UNODC.

35. Therefore, it is essential that these initiatives be coordinated not only to avoid a duplication of efforts, but also to ensure that project managers have access to a system that effectively supports both their operational and strategic needs. A unified approach, working in synergy with the Integrated Planning, Management and Reporting solution, would amplify monitoring efficiency, facilitate comprehensive reporting and advance UNODC results-based management across the Office.

36. **The Board recommends that UNODC engage with United Nations Headquarters to explore the possibility of changes to the Integrated Planning, Management and Reporting solution to meet management information needs, and – if required and taking into account and building on existing experiences and tools – adopt a single supplementary tool that works in synergy with the Integrated Planning, Management and Reporting solution for the daily use of project managers.**

37. UNODC accepted the recommendation.

Challenges in the timely and complete submission of annual project progress reports following system transition

38. In accordance with the UNODC project management guide, the annual project progress report must be submitted by the end of February of the following year. The annual report should follow the template provided in the Integrated Planning, Management and Reporting solution, as outlined in the guide.

39. In addition, further requirements are specified in the guide for the preparation and submission of the annual project progress report, including the need for documented approval for each report submitted to the Integrated Planning, Management and Reporting solution. It is also stipulated that project managers must compare actual expenditure with the planned budget and report on the results achieved.

40. The Board identified issues concerning the submission and quality of annual project progress reports in the Integrated Planning, Management and Reporting solution for 2023 across 17 selected programmes that were to be presented by the end of February 2024. The issues were as follows:

(a) *Timeliness of submission*. Of 17 cases analysed, 7 programmes had no reports submitted. Of the remaining 10 reports, 6 were submitted past the deadline, with delays ranging from six days to as long as seven months;

(b) *Quality and completeness*. Of the 10 reports submitted, 2 lacked evidence of approval, 3 had missing or incomplete budget analyses and 1 provided insufficient information on programme performance.

41. Furthermore, the Board identified the same issue across 14 programmes executed by the Regional Office for the Andean Region and Southern Cone in 2023, which were expected to be reported in 2024. The programmes collectively represented a planned budget of $64 million for 2024. The issues were as follows:

(a) *Timeliness of submission*. Of 14 cases analysed, 2 reports had not been submitted. Of the remaining 12, 8 were submitted past the deadline, with delays ranging from 19 days to as long as five months;

(b) *Quality and completeness*. Among the 12 submitted reports, 11 lacked evidence of approval, while 2 lacked indicator date information.

42. As regards the annual project progress reports for 2024, expected to be issued in 2025, the Board confirmed that the Regional Office had adjusted the procedure to ensure that evidence of report approval was recorded in the system.

43. The Board assesses that the identified shortcomings are related to limited familiarity with the Integrated Planning, Management and Reporting solution and role definitions within the solution following the transition from the Programme and Financial Information Management System (ProFi), as well as recent programme restructuring and mergers, which have adversely affected the reporting processes.

44. The Board considers that the failure to submit reports on time, coupled with deficiencies in the quality of the reports, could significantly impede the ability of UNODC to assess programme performance in a timely manner, to make informed decisions and to ensure accountability. The Board deems that these issues could undermine the reliability and usefulness of the annual project progress reports for decision-making and accountability purposes.

45. **The Board recommends that UNODC ensure the timely submission of annual project progress reports in the Umoja Integrated Planning, Management and Reporting solution, ensuring compliance with the required standards of quality and completeness.**

46. UNODC accepted the recommendation.

Low utilization of the project manager's dashboard

47. In accordance with the chapter on project implementation in the UNODC project management guide, projects should be continuously monitored, both substantively and financially, throughout their implementation. To this end, performance measures and risk indicators must be updated regularly in the strategy management application, while financial implementation should be tracked using reports available in the Business Planning and Consolidation module, the Umoja ERP Central Component and Umoja business intelligence. By leveraging these substantive and financial data, project managers can effectively report on progress to all stakeholders.

48. Furthermore, the United Nations Secretariat statement on internal control for 2023 operations highlights, under section 12.e on the status of internal control issues in 2023, that the Integrated Planning, Management and Reporting solution data models were introduced to facilitate the creation of customized reports through Umoja Analytics, enhancing data-driven decision-making. As part of this initiative, the integrated project manager's dashboard was deployed in 2024, providing improved visibility into the links between substantive results and financial data.

49. The Board found a low utilization of the project manager's dashboard at the Regional Office for the Andean Region and Southern Cone. According to project monitoring staff there, much of the data presented on the dashboard were not relevant to their activities, given that they could not find the same values recorded in the Integrated Planning, Management and Reporting solution, including the approved budget, the approved budget by sponsored class and the consumable budget, among others.

50. For example, for one programme, the Integrated Planning, Management and Reporting solution indicated an approved budget of $351 million, while the project

manager's dashboard presented a figure of $692.1 million. Meanwhile, the Umoja business intelligence tool used until 2024 was deactivated. Consequently, those responsible for programme monitoring had to rely on spreadsheets and the Umoja ERP Central Component.

51. The Board considers that the lack of training and proper guidance on the use of the newly launched project manager's dashboard creates difficulties in its utilization, given that it is a comprehensive and complex tool. With regard to the discrepancy in the approved budget, for example, although the concepts may be different in the Integrated Planning, Management and Reporting solution and in the dashboard, the adoption of the same terminology (approved budget) creates confusion for the user. It is not easy for the user to perceive that the approved budget in the solution corresponds to the value indicated in the project document, while the approved budget in the dashboard is the value effectively inserted and executed in the Business Planning and Consolidation module.

52. The low utilization of the dashboard and the consequent reliance on parallel resources not only lead to inefficiency, but also undermine the credibility of the institutional tool.

53. **The Board recommends that UNODC enhance the use of Umoja Analytics and the project manager's dashboard, ensuring proper guidance and training, thereby ensuring the provision of holistic, accurate and timely project information and the facilitation of visibility into links between substantive results and financial data.**

54. UNODC accepted the recommendation.

4. Implementing partners

Lack of written guidelines for releasing full advance payments to partners

55. It is established in the United Nations Office at Vienna-UNODC partnership policy of August 2024 that instalments should be released only after the project manager has approved the corresponding expenditure reports.

56. In this regard, it is indicated in the implementing partners management job aid (item 6) that it is the responsibility of the programme manager to ensure that the partner organization has adequately reported on previous instalments before initiating a new disbursement.

57. The Board is of the view that disbursing the contractual amount in instalments constitutes a financial control mechanism to ensure that funds are utilized in accordance with their intended purposes pursuant to the agreement.

58. While the policy outlines criteria for releasing subsequent instalments, the Board observed that internal guidance documents and operational manuals did not define mandatory documentation requirements or specify the conditions that must be fulfilled prior to the full release of funds. In addition, there was no internal control mechanism requiring enhanced review procedures for high-risk transactions, such as full, upfront disbursements.

59. The Board noted that 97 agreements awarded in 2024 (of a total of 220), with an approximate value of $5.8 million, had one instalment in the agreement, disbursed in full to implementing partners upon the initial payment request. In accordance with the agreements, those transfers were advance payments made prior to the submission of any contractual deliverables and without documented evidence of progress made in implementation.

60. For example, it was specified in the payment schedule in one agreement signed between UNODC and the United Nations Office for Project Services that the entire amount ($1.97 million) would be disbursed upon signature of the agreement, notwithstanding the high value and the fact that the agreement required the recipient to submit five narrative and five financial reports over a one-year period. The requirement to submit reports at various stages suggests that the disbursement of funds could have been structured in multiple instalments instead of being made in full as a single payment.

61. In another case, one agreement signed by the Regional Office for the Andean Region and Southern Cone also established a single payment of approximately $180,000, although the agreement required a detailed workplan and performance indicators. Later, the implementing partner was rated as "poor" in both the quality of reporting and implementation.

62. Similarly, one agreement established a single payment of $146,390.71, although the agreement included a workplan and performance indicators. Furthermore, part of the advanced funds, in the amount of $42,451.34, was not used and had to be reimbursed.

63. Although UNODC has provided justifications for the cited cases and there may be legitimate cases in which full upfront payment should be justified, such as when the amount involved is low, the Board noted that UNODC had no formal rules defining when those payments were appropriate. Consequently, decisions are left to the discretion of project managers or substantive officers at the time of the signing of the agreement, increasing the risk that funds are disbursed without sufficient assurance that the agreement's objectives will be achieved.

64. **The Board recommends that UNODC establish or update internal guidelines with specific guidance for agreements involving single-instalment payments, in order to increase the likelihood that deliverables will be completed.**

65. UNODC accepted the recommendation.

Non-compliance with reporting deadlines by implementing partners

66. In line with the United Nations Office at Vienna/UNODC partnership policy (August 2024), appropriate and timely reporting by the partner is required so that the United Nations Office at Vienna or UNODC can report to its donors in a timely manner; otherwise the organization will be exposed to significant risks.

67. It is established in the policy that the programme or project manager is ultimately responsible for ensuring that reports (substantive, financial and audit) are submitted in a timely manner and with the required quality, as stipulated in the agreement with the partner. Managers must also follow up on delays, performance issues or other concerns, ensuring compliance with donor requirements.

68. In accordance with the policy, partners are required to submit their final financial and narrative reports within three months (approximately 90 days) following the end date of the agreement implementation period. Reports are sent by email directly to the programme manager, and the dates recorded in Umoja reflect the moment when the reports are uploaded into the system.

69. The Board reviewed the submission dates of 942 final reports (both financial and narrative) related to agreements initiated during the audit reference period, representing a total value of approximately $158.20 million. It was found that 98 financial reports were recorded in Umoja after the contractual deadline, corresponding to a total of $20.15 million. Among those reports, the average delay was 137 days.

70. It should be noted that, while some reports were indeed submitted after the contractual deadline, others may have been submitted on time. However, the time required for review and clarification often delays the uploading process. Therefore, the dates recorded in Umoja did not always reflect the actual submission date by the partner.

71. In one notable case (agreement 2000010027), the reports were due on 26 September 2022 but were submitted only on 10 May 2024, resulting in a significant delay of 592 days. When questioned about the case, UNODC stated that this was caused by a failure to update the reporting schedule following an amendment, as well as a system error.

72. The Board considers that the failure to submit reports on time may stem from several factors, including the lack of timely follow-up by programme and project managers to ensure partner compliance with deadlines, weak monitoring mechanisms to track and act upon overdue reports and insufficient enforcement of contractual obligations, in particular those assigning responsibility to programme managers for ensuring timely reporting by partners.

73. These delays could compromise the ability of UNODC to effectively monitor project implementation and ensure accountability for the use of funds. They could also hinder timely and informed decision-making by managers. Ultimately, such delays expose the Office to reputational and financial risks, including strained donor relationships and a potential loss of funding.

74. **The Board recommends that UNODC include in its partnership policy a requirement for programme and project managers to define partner-specific mitigation measures to prevent delays in the submission of reports.**

75. UNODC accepted the recommendation.

5. Liquidity challenges

Absence of a formal risk-based prioritization process in response to liquidity constraints

76. In accordance with the Regulations and Rules Governing Programme Planning, the Programme Aspects of the Budget, the Monitoring of Implementation and the Methods of Evaluation (ST/SGB/2018/3), the establishment of priorities among both substantive programmes and common support services shall form an integral part of the overall planning and management process, without prejudice to existing arrangements, procedures or the specific nature of servicing activities. Such priorities shall be based on the importance of the objectives to Member States, the organization's capacity to achieve them and the actual effectiveness and usefulness of the results.

77. The liquidity challenges affecting the United Nations regular budget, as outlined in a letter from the Secretary-General dated 25 January 2024, have had an impact on the Organization's ability to deliver on its mandates. In response, emergency cost-containment measures were implemented, including hiring restrictions and reductions in travel, consultancies, procurement, and construction and maintenance. Each Secretariat entity, including UNODC, was required to operate within reduced spending ceilings.

78. Although the regular budget accounts for a small portion of the total funding of UNODC, the spending restrictions have affected its core activities.

79. In 2024, UNODC received only 74.43 per cent of its non-post approved allocation, resulting in operational constraints and a year-end deficit.

Table II.2
United Nations Office on Drugs and Crime regular budget (sect. 16), 2024
(Thousands of United States dollars)

(1)

	2024 budget	*2024 allotment*	*Percentage of allotment*	*Expenses as at 31 December 2024*	*Balance*
Posts	20 831.2	20 915.3	100.4	21 685.6	(770.3)
General temporary assistance	602.0	606.4	100.7	395.2	211.2
Hospitality	1.3	1.4	100.7	0.8	0.6
Non-post	2 447.2	1 821.5	74.4	1 709.23	112.2
Subtotal, 1	**23 881.7**	**23 344.5**	**97.7**	**23 790.9**	**(446.4)**

(2)

	2024 approved programme budget implications	*2024 allotment*	*Percentage of allotment*	*2024 expenditure*	*Balance*
Posts	–	–	–	–	–
General temporary assistance	395 300	394 600	99.80	394 600	–
Non-post	55 300	5 400	10.0	5 400	–
Subtotal, 2	**450 600**	**400 000**	**89.0**	**400 000**	**–**
Total (1+2)	**24 332 300**	**23 744 500**	**97.6**	**24 190 951**	**–**

Source: UNODC.

80. The insufficiency of non-post allotments forced UNODC to prioritize the safeguarding of essential operations. Notwithstanding maintaining 22 unfilled posts of 125, non-post funds were redirected to cover anticipated salary overruns.

81. With respect to UNODC staff positions, the Board noted that, in 2024, in addition to ongoing vacancies, 50 posts were cancelled. Of these, 13 were eliminated owing to liquidity constraints, affecting not only headquarters in Vienna, but also regional offices.

82. UNODC stated that those constraints had also hampered the planning and delivery of key intergovernmental meetings, such as the sessions of the subsidiary bodies of the Commission on Narcotic Drugs, the additional session of the Ad Hoc Committee to Elaborate a Comprehensive International Convention on Countering the Use of Information and Communications Technologies for Criminal Purposes and the November session of the International Narcotic Control Board, as well as other essential substantive activities.

83. In addition to these impacts, other activities have been affected. As informed by the entity, these include the limited capacity to deliver the annual report questionnaire and the *World Drug Report*, reductions in operational funding and essential supplies for United Nations Narcotics Laboratory operations and insufficient funding for support and maintenance contracts related to information and communications technology operations and information technology security services.

84. UNODC has mechanisms to guide resource allocation decisions made through evidence-based analysis that are aligned with strategic priorities and financial

constraints and thoroughly documented. While UNODC has implemented these mechanisms, the Board noted that a formal risk-based prioritization process had not yet been established to guide decision-making under budgetary constraints.

85. In this context, implementing a formal, risk-based prioritization process presents an opportunity for UNODC to enhance its ability to anticipate and manage the operational impacts of liquidity constraints. A formalized process could support more informed decision-making and help to ensure the continuity of critical functions, even in a financially challenging environment.

86. **The Board recommends that UNODC formalize its resource prioritization process by developing, in consultation with its service chiefs, a flexible, risk-based framework to guide decision-making under liquidity constraints.**

87. UNODC accepted the recommendation.

6. Property, plant and equipment

Absence of residual value assignment for assets that continue to provide economic benefits

88. In line with IPSAS 17: Property, plant and equipment, the residual value of an asset is defined as the estimated amount that an entity would currently obtain from the disposal of the asset, after deducting the estimated costs of disposal, assuming the asset is already of the age and in the condition expected at the end of its useful life.

89. In addition, it is stated in the United Nations IPSAS manual that the residual value is considered nil, unless it is likely to be significant. It is also indicated in the manual that specific useful lives and residual values should be applied to high-cost and/or specialized items of property, plant and equipment when the application of the standard useful life for the class would result in non-compliance with IPSAS.

90. The Board observed that, at UNODC, 46.4 per cent of assets (259 of a total of 558) had their net book values reduced to zero in Umoja during the period under review, with no residual value assigned.

91. The capitalized value of these fully depreciated assets was $10.13 million, representing a significant portion (51.3 per cent) of the total capitalized gross value of all property, plant and equipment, which stood at $19.74 million.

92. On the basis of a physical inspection of a sample of those assets conducted at the Vienna International Centre, the Board found that those assets were fully functional and essential to UNODC operations. For example, many of them included laboratory machines and equipment used by the United Nations Narcotics Laboratory for the identification of drugs and psychotropic substances.

93. The Board considers that this situation results from a misalignment between the estimated useful economic life of property, plant and equipment assets and their actual use within UNODC.

94. Although UNODC explained that a review of useful lives had been conducted in 2022 and that, in line with the standard operating procedure, useful economic lives were reviewed every five years – with the next review scheduled to begin early in 2027 using data from the previous three years – that process did not allow for entity-level adjustments.

95. While UNODC cannot independently update the useful economic life, the financial statements would more accurately reflect the condition of these assets if a residual value were assigned to those that remain in active use.

96. The Board concludes that this practice, whereby the estimated useful lives of assets do not reflect their ongoing use, leads to an understatement of asset values on the balance sheet. Fully depreciated assets that remain operational continue to provide economic benefits, and failing to reflect this reality results in non-compliance with IPSAS 17.

97. UNODC reported that it would review all fully depreciated items of property, plant and equipment that continued to provide economic benefits, excluding buildings and infrastructure assets, and write back 10 per cent of the acquisition cost for those items from 2025 onwards.

98. **The Board recommends that UNODC assess and assign residual values to fully depreciated property, plant and equipment that remain in use and continue to provide economic benefit, in compliance with IPSAS 17.**

99. UNODC accepted the recommendation.

C. Transmission of information by management

1. Write-off of losses of cash, receivables and property

100. UNODC reported that it had written off advances and other receivables balances totalling $0.09 million in 2024 ($0.31 million in 2023). No write-off of property, plant and equipment was reported.

2. Ex gratia payments

101. UNODC reported to the Board that there were no ex-gratia payments in 2024.

3. Cases of fraud and presumptive fraud

102. During the year under review, the Board did not identify any case of fraud, other than those cases of fraud and presumptive fraud that have been reported by UNODC and disclosed in the present report. In accordance with article VII of the Financial Regulations and Rules of the United Nations and related annex, UNODC reported six cases of fraud and presumptive fraud in 2024 to the Board. Of those cases, investigations of four (67 per cent) were completed during the year. Two remaining cases (33 per cent) remain under investigation.

103. As at 31 December 2024, the cumulative number of cases under investigation for previous years were as follows: three relating in 2019, two each in 2020, 2021 and 2022 and six in 2023. The Board encourages the Office of Internal Oversight Services to continue to increase the rate of investigation of the pending cases.

Table II.3
Cases of fraud and presumptive fraud at the United Nations Office on Drugs and Crime

Investigating entity	*Total cases*	*Reported in 2024*	*Reported in 2023 or earlier*	*Pending cases*	*Closed cases*
Office of Internal Oversight Services	14	4	10	6	8
United Nations Development Programme Office of Audit and Investigations	7	1	6	3	4
Total	**21**	**5**	**16**	**9**	**12**

Source: UNODC.

D. Acknowledgement

104. The Board expresses its sincere appreciation and gratitude to the management and staff of UNODC for the assistance and cooperation extended during the conduct of the audit.

(*Signed*) Pierre **Moscovici**
First President of the French Cour des comptes
(Chair of the Board of Auditors)

(*Signed*) Vital **do Rego Filho**
President of the Brazilian Federal Court of Accounts
(Lead Auditor)

(*Signed*) **Hou** Kai
Auditor General of the People's Republic of China

23 July 2025

Annex

Status of implementation of recommendations up to the financial year ended 31 December 2023

No.	*Audit report year*	*Report reference*	*Recommendation*	*Management's response*	*Board's assessment*	*Status after verification*			
						Implemented	*Under implementation*	*Not implemented*	*Overtaken by events*
1.	2018	A/74/5/Add.10, chap. II, para. 64	The Board recommends that UNODC strengthen its internal controls in order to ensure the segregation of duties in every project or, at the very least, implement a compensating control.	In 2024, capacity-building initiatives focused on the segregation of duties in monitoring and reporting processes were continued through various in-person and virtual training sessions. In addition, the Strategic Planning and Inter-Agency Affairs Unit has commenced regular spot checks as from early in March 2025, establishing this as a routine process for each reporting phase.	The Board noted the efforts of the UNODC Division for Policy Analysis and Public Affairs to enhance capacity-building and implement a routine of spot checks. However, there is still insufficient evidence that the segregation of duties is a reality in most projects. Therefore, the Board considers the recommendation to be under implementation.		X		
2.	2019	A/75/5/Add.10, chap. II, para. 115	The Board recommends that UNODC make a review of the United Nations Office at Vienna/ UNODC information technology services disaster recovery plan and add all the missing elements that the current United Nations disaster recovery plan technical procedures require.	Following the Board's recommendations, the United Nations Office at Vienna/UNODC Information Technology Service disaster recovery plan has been reviewed and updated and is awaiting approval. The Information Technology Service disaster recovery plan now includes all the elements outlined in the current United Nations disaster recovery plan technical procedures, ensuring that the disaster recovery plan meets the required standards and is better prepared for potential disruptions.	The Board noted that the United Nations Office at Vienna/UNODC Information Technology Service disaster recovery plan has been reviewed and updated to include all the elements outlined in the current United Nations disaster recovery plan technical procedures. However, the plan is still awaiting approval. Therefore, the Board considers the recommendation to be under implementation.		X		

No.	Audit report year	Report reference	Recommendation	Management's response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
3.	2020	A/76/5/Add.10, chap. II, para 73	The Board recommends that the UNODC Regional Office for the Middle East and North Africa carry out, in a timely manner, the mandatory project progress reports as required under the current Programme and Operations Manual.	All annual project progress reports were submitted prior to the deadline of 28 February 2025.	The Board noted that, of four programmes expected to report in the Integrated Planning, Management and Reporting solution for 2025, three (XAM04, XAMW33 and XAMB7) uploaded their 2024 annual project progress reports in a timely manner. However, AREU51 did not upload its 2024 annual project progress report to the solution by 10 April 2025. Therefore, the Board considers the recommendation to be under implementation.		X		
4.	2021	A/77/5/Add.10, chap. II, para. 32	The Board recommends that the UNODC Country Office in Peru, in coordination with UNODC headquarters, assess and adopt measures regarding those service contract holders recruited for a long period of time, in order to avoid an improper use of this contract modality.	The United Nations Development Programme is undergoing a transition from service contracts to a new modality, which may affect all service contract holders at the UNODC Country Office in Peru. Communication regarding this transition has been centralized through the Department of Management Strategy, Policy and Compliance for all United Nations Secretariat entities utilizing service contracts. Notably, UNODC (as well as other entities) has received authorization to continue to use the service contract modality exceptionally until 21 December 2025.	The Board noted that the decision regarding a transition to a new partner personnel agreement is pending at Headquarters and that UNODC is exceptionally permitted to continue to use the service contract modality until the end of 2025. Therefore, the Board considers the recommendation to be under implementation.		X		

No.	Audit report year	Report reference	Recommendation	Management's response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
5.	2021	A/77/5/Add.10, chap. II, para. 61	The Board recommends that UNODC assess the establishment of minimum procedures for regulating the recruitment process under the service contracts modality, while adopting the good practices already implemented by the UNODC Country Office in Colombia.	UNODC has been granted authorization to continue to utilize the service contract modality on an exceptional basis until 21 December 2025. The Department of Management Strategy, Policy and Compliance will oversee communications and negotiations with the United Nations Development Programme regarding the transition of service contracts for all United Nations Secretariat entities that are using service contracts. Furthermore, the Assistant Secretary-General for Human Resources has requested that UNODC conduct a workforce analysis by 31 March 2025, to evaluate the feasibility of a transition of service contracts to alternative contract modalities.	The Board noted that UNODC was focused on enabling the transition to the new partner personnel service agreement if approved in 2025, which has therefore resulted in little progress made in defining the minimum procedures that regulate the recruitment process for the service contract modality, which will effectively be phased out by 31 December 2025. Therefore, the Board considers the recommendation to be under implementation.		X		
6.	2021	A/77/5/Add.10, chap. II, para. 91	The Board recommends that the UNODC Country Offices in Colombia and Peru ensure that project revisions are approved in a timely manner, following the current instructions in this regard.	The management instruction regarding direct approval was approved in January 2025, and all project revisions for the Regional Office for the Andean Region and Southern Cone, which now includes the Country Office in Peru, were completed on time.	The Board noted that, as reported by the Financial Resources Management Service on 10 April 2025, the management instructions concerning direct approval were reviewed and approved by the appropriate working group in January 2025 but were still waiting for approval by the Office of the Executive Director. Therefore, the Board considers the recommendation to be under implementation.		X		

No.	*Audit report year*	*Report reference*	*Recommendation*	*Management's response*	*Board's assessment*	*Status after verification*			
						Implemented	*Under implementation*	*Not implemented*	*Overtaken by events*
7.	2021	A/77/5/Add.10, chap. II, para. 99	The Board recommends that UNODC review and update its management instructions and internal procedures related to programme and project management, while considering the incorporation and use of the integrated planning, management and reporting solution, as well as consolidate all of the new and relevant information within the programme and operations guidance map.	Revisions to the management instructions concerning programme and project management are under review by senior management for approval. The management instruction pertaining to reporting is under discussion within the interdivisional working group focused on the review of management instructions and is expected to be finalized for approval by the end of March 2025.	The Board noted that, as reported on 10 April 2025, the management instructions concerning programme and project management had been reviewed and approved by the appropriate working group in January 2025 but were still waiting for the approval of the Office of the Executive Director. Therefore, the Board considers the recommendation to be under implementation.		X		
8.	2022	A/78/5/Add.10, chap. II, para. 40	The Board recommends that UNODC take the actions necessary to further ensure that the balance of the fund "64DCR" is maintained at an appropriate level in accordance with relevant policies and guidance.	UNODC has initiated action to implement the recommendation. A plan and implementation road map have been established and agreed upon with Member States. As planned, the road map was revised in October 2024 to incorporate additional feedback from Member States. UNODC expects that the multi-year execution plan will bring the 64DCR fund balance to the appropriate levels by the end of December 2027.	The Board noted that, as at 31 December 2024, the excess income under Information Technology Service exchange transactions recorded a balance of $15.88 million, which was 7.70 per cent less than the balance recorded as at 31 December 2023 ($17.20 million). Therefore, the Board considers the recommendation to be under implementation.		X		

No.	Audit report year	Report reference	Recommendation	Management's response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
9.	2022	A/78/5/Add.10, chap. II, para. 56	The Board recommends that UNODC strengthen its internal controls in the framework of programme and project implementation to avoid the reiteration of ex post facto approval of assets transferred to end beneficiaries.	For assets delivered and under UNODC control, no ex post facto transfers have been reported for 2024. In addition, the initiative to decentralize property management is in progress. Relevant roles have been assigned to its offices and necessary training sessions have been successfully conducted.	The Board noted that, as at 31 December 2024, several training sessions were yet to take place. The decentralization initiative has also not concluded. For the recommendation to be closed, all measures taken would need to have been implemented. Therefore, the Board considers the recommendation to be under implementation.		X		
10.	2022	A/78/5/Add.10, chap. II, para. 101	The Board recommends that UNODC and its field offices evaluate their current mitigation measures and establish more specific actions to prevent the reoccurrence of ex post facto procurement cases.	The United Nations Office at Vienna/UNODC Procurement Unit has implemented measures to assist UNODC offices in preventing the recurrence of ex post facto procurement cases. These measures comprise two refresher briefing sessions, the development of a frequently asked questions document and a standardized reporting template. The reporting template requires UNODC offices to outline specific mitigation measures aimed at preventing future occurrences. Furthermore, each ex post facto report submitted to the Unit undergoes a thorough review to ensure that mitigation actions are clearly defined and specific.	The Board noted that UNODC outlined several controls that were implemented, as well as efforts taken in response to the recommendation. The Board also noted that, in 2024, there were only 21 ex post facto approvals, totalling $204,071.48. Therefore, the Board considers the recommendation to be implemented.	X			

No.	*Audit report year*	*Report reference*	*Recommendation*	*Management's response*	*Board's assessment*	*Status after verification*			
						Implemented	*Under implementation*	*Not implemented*	*Overtaken by events*
11.	2022	A/78/5/Add.10, chap. II, para. 108	The Board recommends that UNODC, in liaison with its field offices, analyse the root causes of delays in the payments, and that concrete measures be established to improve the overall payment process in order to avoid reputational damage.	The Accounts Section of UNODC has implemented steps to support and improve the timely processing of vendor payments, including the preparation of monthly reports on outstanding commitments and quarterly key performance indicator reports on the timeliness of payments for goods and services. The following were observed in 2024: (a) a slight improvement in the processing times between the fourth quarter of 2023 and the first quarter of 2024 (from 35 to 36 per cent); (b) a significant improvement between the first quarter of 2024 and the second quarter of 2024 (from 36 to 42 per cent); (c) a decline between the second quarter of 2024 and the third quarter of 2024 (from 42 to 41 per cent); and (d) a significant improvement between the third quarter of 2024 and the fourth quarter of 2024 (from 41 to 48 per cent).	The Board noted UNODC efforts to improve the timely processing of vendor payments and reviewed the documentation provided in support of the measures taken. The Board conducted additional procedures to assess delays in payments, finding that payments undertaken by UNODC, notwithstanding improvements in terms of timeliness, remained delayed for the most part. Therefore, the Board considers the recommendation to be under implementation.		X		

No.	Audit report year	Report reference	Recommendation	Management's response	Board's assessment	Status after verification: Implemented	Under implementation	Not implemented	Overtaken by events
12.	2022	A/78/5/Add.10, chap. II, para. 117	The Board recommends that UNODC implement further effective measures and timelines, such as those implemented in its field offices, to allow for the efficient management of grants with extended operational closing status.	The final report of the working group on grant monitoring and closure was issued in 2024. Recommendations from the working group have been implemented accordingly. Significant progress has been made on resolving grants with an extended operational closing status. A status report showing the progress made during 2024 has been shared with the Board.	The Board noted UNODC efforts to implement the recommended measures and establish appropriate timelines. UNODC has provided a list of measures, along with an assessment of their implementation status, supported by relevant evidence for several measures taken. However, some measures remain in progress. Therefore, the Board considers the recommendation to be implemented.	X			
13.	2022	A/78/5/Add.10, chap. II, para. 136	The Board recommends that UNODC ensure that reporting obligations to be met by implementing partners are timely and properly delivered.	The External Party Engagement Unit of UNDOC has implemented a tracking system to monitor the expiration dates of agreements and utilizes this tool to provide reminders to programme managers. In addition, the Grantor Management module automatically sends reminders 20 days prior to the report due date, with a follow-up reminder 10 days after the due date. It is noteworthy that, in 2023, of the 49 agreements awarded with an end date of December 2023, 47 were successfully closed on time. In addition, three agreements with end dates in 2024 remain pending closure, all of which remain within the operational six-month period for closure.	The Board noted that, in 2023, of the 49 agreements awarded with an end date of December 2023, 47 were successfully closed on time. In addition, three agreements with end dates in 2024 remain pending closure, all of which remain within the operational six-month period for closure. Therefore, the Board considers the recommendation to be implemented.	X			

No.	*Audit report year*	*Report reference*	*Recommendation*	*Management's response*	*Board's assessment*	*Status after verification*			
						Implemented	*Under implementation*	*Not implemented*	*Overtaken by events*
14.	2023	A/79/5/Add.10, chap. II, para. 30	The Board recommends that UNODC review retrospectively, at least since the issuance of the partnership policy, all finalized agreements with implementing partners and conduct the pending performance evaluations.	Of 54 agreements identified by the auditors as pending performance evaluations, 52 (approximately 96 per cent) have been marked as completed or closed. Please note that this remains an ongoing task, and the External Party Engagement Unit of UNODC will continue to monitor the situation and provide regular reminders to programme managers to ensure the timely completion of performance evaluations.	The Board noted UNODC efforts to retrospectively review all finalized agreements with implementing partners and address the pending performance evaluations. The Board reviewed a list of all agreements with pending performance evaluations, performance reports and updated assessments of agreements. Therefore, the Board considers the recommendation to be implemented.	X			
15.	2023	A/79/5/Add.10, chap. II, para. 31	The Board recommends that UNODC ensure that all performance evaluations for implementing partners be conducted in a timely manner.	Monitoring agreements and ensuring their timely closure is a continuous task undertaken by the External Party Engagement Unit of UNODC. The team utilizes a report generated from the Grantor Management module to track expiry dates and provides reminders to programme managers to conduct performance evaluations in a timely manner.	The Board noted grants with pending performance evaluations as at 14 April 2025 and found that 96.21 per cent of the grants, valued at $207.55 million, were within the permitted time frame for evaluation, while 3.79 per cent, totalling $14.66 million, exceeded the deadline. These figures indicate overall timely compliance. Therefore, the Board considers the recommendation to be implemented.	X			

No.	*Audit report year*	*Report reference*	*Recommendation*	*Management's response*	*Board's assessment*	*Status after verification*			
						Implemented	*Under implementation*	*Not implemented*	*Overtaken by events*
16.	2023	A/79/5/Add.10, chap. II, para. 32	The Board recommends that UNODC include the delay in the return of the unspent balances by the implementing partner when assessing its performance.	This recommendation is now reflected in the performance evaluation form, in which the assessment takes into account the timeliness of returning unspent balances.	The Board noted that UNODC included in the project closure checklist that, with regard to the partner performance report, "any delays in reporting or in returning unspent balances must also be considered in the assessment of the partner's performance". However, the partner performance report does not contain a specific field for providing information on the delay in returning unspent balances by the implementing partner. Therefore, the Board considers the recommendation to be under implementation.		X		
17.	2023	A/79/5/Add.10, chap. II, para. 38	The Board recommends that UNODC ensure that its implementing partners refund their unspent balances in a timely manner.	Monitoring agreements and ensuring their timely closure is a continuous task undertaken by the External Party Engagement Unit of UNODC. The team utilizes a report generated from the Grantor Management module to track expiry dates and sends reminders to programme managers to initiate the closure process, including any necessary refunds.	The Board noted that UNODC provided (a) a list prepared by the External Party Engagement Unit containing the monitoring of agreements; (b) some emails exchanged with programme managers reminding them of the need to close the agreements with their partners; and (c) an assessment of the implementing partners who were awaiting refunds of 7.4 per cent of agreement amounts with those refunds due by 17 April 2025. Therefore, the Board considers the recommendation to be implemented.	X			

No.	Audit report year	Report reference	Recommendation	Management's response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
18.	2023	A/79/5/Add.10, chap. II, para. 39	The Board recommends that UNODC include in its partnership policy a standard deadline for the return of the unspent balances by implementing partners.	It is now stipulated in the United Nations Office at Vienna/UNODC partnership policy, issued in August 2024, that unspent balances must be refunded within 30 days following the acceptance of the final financial report or the project audit report.	The Board noted that UNODC had submitted the updated version of the United Nations Office at Vienna/UNODC partnership policy in August 2024. It is indicated in the document that refunds must be made by the partner within 30 days of acceptance of the final financial report or the project audit report. The programme or project manager must inform the partner promptly of the amounts to be refunded and provide the United Nations banking information to ensure that refunds are made within 30 days. Therefore, the Board considers the recommendation to be implemented.	X			
19.	2023	A/79/5/Add.10, chap. II, para. 46	The Board recommends that UNODC establish a control mechanism for the programme managers to ensure that the instalments to implementing partners are paid in accordance with the signed agreements.	The External Party Engagement Unit of UNODC will continue to remind programme managers to initiate the payment of the first instalment within 30 days of the awarding of the agreement. The compliance rate for the timely payment of first instalments within the specified 30-day time frame stands at 89 per cent for agreements in 2023 and 84 per cent for agreements in 2024, indicating that effective controls are in place.	The Board noted that UNODC had a control report providing compliance rates for the timely payment of first instalments within the specified 30-day time frame. The reported compliance rates were 89 per cent for agreements in 2023 and 84 per cent for agreements in 2024. Therefore, the Board considers the recommendation to be implemented.	X			

No.	Audit report year	Report reference	Recommendation	Management's response	Board's assessment	Status after verification: Implemented	Under implementation	Not implemented	Overtaken by events
20.	2023	A/79/5/Add.10, chap. II, para. 55	The Board recommends that UNODC keep the information on implementing partners updated in the Umoja Grantor Management module to ensure its accuracy and consistency.	Monitoring agreements and ensuring their timely closure is a continuous task undertaken by the External Party Engagement Unit of UNODC. The team utilizes a report generated from the Grantor Management module to check for inactive grantor programmes and applications and ensure that there are no pending tasks older than three months.	The Board noted that UNODC reported that it used reports generated from the Grantor Management module to check for inactive grantor programmes and applications and ensure that there were no pending tasks older than three months. As evidence, it presented a list of pending agreements, applications to be rejected and grantor programmes pending closure. Therefore, the Board considers the recommendation to be implemented.	X			
21.	2023	A/79/5/Add.10, chap. II, para. 67	The Board recommends that UNODC analyse the root causes of the low compliance rates by each office for the submission and approval of travel requests and take actions to strengthen and increase compliance with the travel processing requirements.	The Travel Unit prepares a quarterly compliance report that provides a comprehensive analysis of the UNODC compliance status with the administrative instruction on official travel. The report is then shared with the division heads for further dissemination, as necessary. The quarterly analysis indicates that the low compliance rate in 2024 is attributable primarily to late nominations of travellers, delayed confirmations by travellers and late event planning, which collectively led to delays in travel bookings. These issues are outlined in the reports, and follow-up discussions on compliance trends are held through interdivisional meetings to enhance adherence to travel-processing requirements.	The Board noted that UNODC prepared a quarterly report on compliance with administrative instructions governing official travel. While UNODC has demonstrated that compliance monitoring is taking place, the Board did not obtain evidence of concrete measures adopted to address the root causes of low compliance. Therefore, the Board considers the recommendation to be under implementation.		X		

No.	*Audit report year*	*Report reference*	*Recommendation*	*Management's response*	*Board's assessment*	*Status after verification*			
						Implemented	*Under implementation*	*Not implemented*	*Overtaken by events*
22.	2023	A/79/5/Add.10, chap. II, para. 68	The Board recommends that UNODC include in its periodic reports a more detailed analysis of the advance purchase policy by including, at least, the rates related to the 21-day rule and a narrative analysis of the non-compliance, and disseminate the results across its staff.	The Travel Unit of UNODC prepares a quarterly compliance report that provides a comprehensive analysis of UNODC compliance status with the administrative instruction on official travel, detailing insights on the 21-day advance purchase requirement, a narrative assessment of non-compliance and other relevant findings. This report is then shared with the division heads for further dissemination, to enhance awareness and reinforce compliance throughout the organization. This initiative is ongoing, with continuous improvements being made to the reports. In addition, travellers and personnel involved in travel management receive regular reminders about compliance requirements during their training sessions and briefings.	The Board noted that the report prepared by UNODC provided a comprehensive analysis of the status of compliance with administrative instructions on official travel. In addition, evidence was presented to the Board of training sessions in which instructions were disseminated to the organization's employees regarding the deadline for submitting travel requests. Therefore, the Board considers the recommendation to be implemented.	X			

No.	Audit report year	Report reference	Recommendation	Management's response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
23.	2023	A/79/5/Add.10, chap. II, para. 76	The Board recommends that UNODC establish a follow-up and review mechanism to ensure that all expenditure reports are submitted in a timely manner, as required by the current instructions.	The Financial Resources Management Service sends out a monthly email to clients to ensure that they receive regular and timely notifications regarding the two-week deadline for expense report submissions. Moreover, this monthly communication also addresses three key issues identified by the Board related to the prompt submission of travel reimbursement claims: (a) Inadequate supporting documentation from travellers. A monthly email is sent to clients in which the importance of attaching all necessary supporting documents to the submitted expense reports is emphasized. It is clearly stated therein that expense reports without the required documentation will be rejected. Each email also provides statistics on open trips by office, along with concise guidance on required action and how to interpret the reported data for these trips. Clients are specifically advised to consult the "End date of the trip" column in the commitment report to ensure they meet the two-week deadline for expense report submissions; (b) Planning challenges for responsible parties. The	The Board noted that UNODC sent monthly emails to staff to ensure regular and timely reminders regarding the two-week deadline for expense report submissions, as well as to address issues related to supporting documentation, the monitoring of submission deadlines and the supervision and follow-up of outstanding reports. The measures adopted by UNODC demonstrate a decrease in the number of trips with late submission of expense reports. Therefore, the Board considers the recommendation to be implemented.	X			

No.	*Audit report year*	*Report reference*	*Recommendation*	*Management's response*	*Board's assessment*	*Status after verification*			
						Implemented	*Under implementation*	*Not implemented*	*Overtaken by events*
				email includes statistics for all trips, including those scheduled for future dates, to assist clients in monitoring their deadlines and facilitating effective planning for the timely submission of reports; (c) Inadequate oversight or follow-up on reports. The aforementioned points, supported by detailed statistics provided monthly, demonstrate regular oversight of the timely submission of travel reimbursements.					
24.	2023	A/79/5/Add.10, chap. II, para. 86	The Board recommends that UNODC compile and review the data regarding the procurement mechanisms for travel management across its offices to manage accurate and updated information supporting the travel management process.	In collaboration with the Procurement Unit of UNODC, an external consultant will be engaged to conduct a thorough review of procurement mechanisms related to travel management across its offices. This assessment will evaluate current practices, identify areas for improvement and provide recommendations for optimizing processes to ensure that accurate and up-to-date information is effectively managed.	The Board noted that UNODC intended to engage with consultants to assess the issues raised in the recommendation. An audit request was sent for details on that effort. However, no concrete action has been taken to date. Therefore, the Board considers the recommendation to be not implemented.			X	

No.	*Audit report year*	*Report reference*	*Recommendation*	*Management's response*	*Board's assessment*	*Status after verification*			
						Implemented	*Under implementation*	*Not implemented*	*Overtaken by events*
25.	2023	A/79/5/Add.10, chap. II, para. 87	The Board recommends that UNODC conduct due diligence assessments and establish an appropriate contractual mechanism for the procurement of travel services in its respective offices.	In collaboration with the Procurement Unit of UNODC, a consultant will be engaged to conduct a due diligence assessment and propose an appropriate contractual mechanism for the procurement of travel services across its offices.	The Board noted that UNODC intended to engage with consultants to assess the issues raised in the recommendation. An audit request was sent for details on that effort. However, no concrete action has been taken to date. Therefore, the Board considers the recommendation to be not implemented.			X	
Total number of recommendations						**25**	**11**	**12**	**2**	**–**
Percentage of total number of recommendations						**100**	**44**	**48**	**8**	**0**

Chapter III
Certification of the financial statements

Letter dated 31 March 2025 from the Chief of the Financial Resources Management Service of the United Nations Office on Drugs and Crime addressed to the Chair of the Board of Auditors

The financial statements of the United Nations Office on Drugs and Crime (UNODC) for the year ended 31 December 2024 have been prepared in accordance with financial rule 106.1 of the Financial Regulations and Rules of the United Nations.

The summary of significant accounting policies applied in the preparation of these statements is included as notes to the financial statements. These notes and the accompanying schedules provide additional information and clarification of the financial activities undertaken by UNODC during the period covered by these statements.

I certify that the appended financial statements of UNODC are correct on the basis of our records and reports from executing agencies.

(*Signed*) Catherine **Perret**
Chief, Financial Resources Management Service
United Nations Office on Drugs and Crime

Chapter IV
Financial report for the year ended 31 December 2024[1]

[1] In the light of the liquidity situation affecting the regular budget of the United Nations and the related management measures implemented by the Secretary-General, chapter IV is made available online at https://digitallibrary.un.org/record/4090388.

Chapter V
Financial statements for the year ended 31 December 2024

United Nations Office on Drugs and Crime

I. Statement of financial position as at 31 December 2024

(Thousands of United States dollars)

	Reference	*31 December 2024*	*31 December 2023*
Assets			
Current assets			
Cash and cash equivalents	Note 5	127 281	133 880
Investments	Note 6	764 482	691 172
Voluntary contributions receivable	Note 7	190 943	175 282
Other receivables	Note 7	2 403	16 486
Advance transfers	Note 8	22 206	15 256
Advances to UNDP and other assets	Note 9	13 610	16 251
Total current assets		**1 120 925**	**1 048 327**
Non-current assets			
Investments	Note 6	279 604	216 205
Voluntary contributions receivable	Note 7	132 491	122 151
Property, plant and equipment	Note 10	6 484	5 288
Intangible assets	Note 11	265	339
Total non-current assets		**418 844**	**343 983**
Total assets		**1 539 769**	**1 392 310**
Liabilities			
Current liabilities			
Accounts payable and accrued liabilities	Note 12	51 869	54 115
Advance receipts	Note 13	31 727	34 731
Employee benefits liabilities	Note 14	8 771	9 288
Provisions	Note 15	–	460
Conditional liabilities	Note 16	124 269	93 988
Total current liabilities		**216 636**	**192 582**
Non-current liabilities			
Employee benefits liabilities	Note 14	123 480	124 799
Conditional liabilities	Note 16	79 878	59 373
Total non-current liabilities		**203 358**	**184 172**
Total liabilities		**419 994**	**376 754**
Net of total assets and total liabilities		**1 119 775**	**1 015 556**
Net assets			
Accumulated surpluses/(deficits) – unrestricted	Note 17	192 766	129 316
Accumulated surpluses/(deficits) – restricted	Note 17	927 009	886 240
Total net assets		**1 119 775**	**1 015 556**

Abbreviation: UNDP, United Nations Development Programme.

The accompanying notes are an integral part of these financial statements.

United Nations Office on Drugs and Crime

II. Statement of financial performance for the year ended 31 December 2024

(Thousands of United States dollars)

	Reference	*31 December 2024*	*31 December 2023*
Revenue			
United Nations regular budget allocation	Note 18	37 180	34 657
Voluntary contributions	Note 19	429 615	388 463
Other transfers and allocations	Note 19	31 194	35 525
Other revenue	Note 20	26 383	29 105
Investment revenue	Note 21	52 336	41 674
Total revenue		**576 708**	**529 424**
Expenses			
Employee salaries allowances and benefits	Note 22	178 847	161 878
Non-employee compensation and allowances	Note 23	81 948	78 862
Grants and other transfers	Note 24	49 586	45 908
Supplies and consumables	Note 25	4 734	5 584
Depreciation	Note 10	1 092	858
Amortization	Note 11	74	81
Travel	Note 26	58 095	57 278
Other operating expenses	Note 27	110 027	101 058
Other expenses	Note 28	395	5
Total expenses		**484 798**	**451 512**
Surplus/(deficit) for the year	**Note 17**	**91 910**	**77 912**

The accompanying notes are an integral part of these financial statements.

United Nations Office on Drugs and Crime

III. Statement of changes in net assets for the year ended 31 December 2024

(Thousands of United States dollars)

	Reference	*Accumulated surpluses/ (deficits) – unrestricted*	*Accumulated surpluses/ (deficits) – restricted*	*Total*
Net assets as at 1 January 2023	Note 17	**115 468**	**835 464**	**950 932**
Change in net assets				
Transfers to/from unrestricted/restricted reserve funds		(615)	615	–
Actuarial gain/(loss)	Note 14	(10 054)	–	(10 054)
Fair value changes in investments recognized directly in net assets		(836)	(2 398)	(3 234)
Surplus/(deficit) for the year	Statement II	25 353	52 559	77 912
Total as at 31 December 2023	**Statement I**	**129 316**	**886 240**	**1 015 556**
Net assets as at 1 January 2024		**129 316**	**886 240**	**1 015 556**
Change in net assets				
Transfers to/from unrestricted/restricted reserve funds		10 555	(10 555)	–
Actuarial gain/(loss)	Note 14	10 436	–	10 436
Fair value changes in investments recognized directly in net assets		451	1 422	1 873
Surplus/(deficit) for the year	Statement II	42 008	49 902	91 910
Total as at 31 December 2024	**Statement I**	**192 766**	**927 009**	**1 119 775**

The accompanying notes are an integral part of these financial statements.

United Nations Office on Drugs and Crime

IV. Statement of cash flows for the year ended 31 December 2024

(Thousands of United States dollars)

	Reference	*31 December 2024*	*31 December 2023*
Cash flow from operating activities			
Surplus/(deficit) for the year	Statement II	**91 910**	**77 912**
Non-cash movements			
Depreciation and amortization	Notes 10, 11	1 166	939
Actuarial gain/(loss) on employee benefits liabilities	Note 14	10 436	(10 054)
Net loss on disposal of property, plant and equipment	Note 10	3 584	2 635
(Increase)/decrease in unrealized loss on assets	Note 17	1 873	6 767
Changes in assets			
(Increase)/decrease in voluntary contributions receivable	Note 7	(26 001)	6 334
(Increase)/decrease in other receivables	Note 7	14 083	6 151
(Increase)/decrease in advance transfers	Note 8	(6 950)	6 136
(Increase)/decrease in other assets	Note 9	2 641	(1 078)
Changes in liabilities			
Increase/(decrease) in accounts payable – Member States	Note 12	(14 215)	(14)
Increase/(decrease) in accounts payable – other	Note 12	11 969	(5 964)
Increase/(decrease) in advance receipts	Note 13	(3 004)	(4 859)
Increase/(decrease) in employee benefits payable	Note 14	(1 836)	18 577
Increase/(decrease) in provisions	Note 15	(460)	460
Increase/(decrease) in conditional liabilities	Note 16	50 786	(7 746)
Investment revenue presented as investing activities	Note 21	(52 336)	(41 674)
Net cash flows from operating activities	Note 4	**83 646**	**54 522**
Cash flows from investing activities			
Pro rata share of net increase/(decrease) in the cash pool	Note 6	(136 709)	(93 677)
Investment revenue presented as investing activities	Note 21	52 336	41 674
Acquisitions of property, plant and equipment	Note 10	(5 872)	(5 313)
Net cash flows from/(used in) investing activities	Note 4	**(90 245)**	**(57 316)**
Cash flows from financing activities			
Other inflows/(outflows) of cash		–	–
Net cash flows from financing activities		**–**	**–**
Net increase/(decrease) in cash and cash equivalents	Note 4	(6 599)	(2 794)
Cash and cash equivalents – beginning of year	Note 5	133 880	136 674
Cash and cash equivalents – end of year	Statement I	**127 281**	**133 880**

The accompanying notes are an integral part of these financial statements.

United Nations Office on Drugs and Crime

V. Statement of comparison of budget and actual amounts for the year ended 31 December 2024

(Thousands of United States dollars)

	Publicly available budget[a]			
	Original 2024 annual[b]	*Revised 2024 annual*[c]	*Actual 2024 (budget basis)*	*Difference*[d] *(percentage)*
Revenue				
United Nations regular budget allocation	25 522	25 522	25 195	(1)
Voluntary contributions	386 158	445 988	483 800	8
Total revenue	**411 680**	**471 510**	**508 995**	**8**
Expense				
A. Policymaking organs	839	839	483	(42)
B. Executive direction and management	5 558	5 325	4 804	(10)
C. Programme of work				
1. Countering transnational organized crime	164 495	163 916	164 175	–
2. A comprehensive and balanced approach to counter the world drug problem	53 103	58 674	62 367	6
3. Countering corruption	31 594	32 350	33 086	2
4. Terrorism prevention	21 284	23 282	25 971	12
5. Justice	80 798	81 902	88 016	7
6. Research, trend analysis and forensics	31 567	37 129	37 742	2
7. Policy support	9 412	9 662	9 391	(3)
8. Technical cooperation and field support	15 553	18 452	16 147	(12)
9. Provision of secretariat services and substantive support to the United Nations intergovernmental bodies, the International Narcotics Control Board and the United Nations Congress on Crime Prevention and Criminal Justice	14 246	12 753	12 942	1
D. Programme support	21 048	21 821	22 203	2
Total expenses (note 4)	**449 497**	**466 105**	**477 327**	**2**
Net surplus/(deficit)	**(37 817)**	**5 405**	**31 668**	**–**

[a] Statement V budget is reported on an annual basis for reporting purposes. See note 4, Comparison to budget, for details of the implementation report on the consolidated budget for the biennium 2024–2025.

[b] Original approved budget for 2024 of $449.5 million covers extrabudgetary resources of $424.0 million approved by the Commission on Narcotic Drugs and the Commission on Crime Prevention and Criminal Justice (E/CN.7/2023/13-E/CN.15/2023/17). It also includes the 2024 initial appropriation for regular budget section 16 ($24.3 million) and section 23 ($1.2 million). The amount for extrabudgetary resources includes the United Nations Interregional Crime and Justice Research Institute.

[c] Revised budget for 2024 of $466.1 million covers extrabudgetary resources of $440.6 million as reflected in E/CN.7/2024/17-E/CN.15/2024/18. It also includes the 2024 revised appropriation for regular budget section 16 ($24.3 million) and section 23 ($1.2 million). The amount for extrabudgetary resources includes the United Nations Interregional Crime and Justice Research Institute.

[d] Actual expenditure (budget basis) less final budget, divided by revised budget. Further details and material differences of 10 per cent or more are available under note 4.

United Nations Office on Drugs and Crime
Notes to the 2024 financial statements

Note 1
Reporting entity

United Nations Office on Drugs and Crime, its objectives and activities

1. The United Nations Office on Drugs and Crime (UNODC) was established in 1997[2] through a merger between the United Nations International Drug Control Programme[3] and the Centre for International Crime Prevention.[4] The mission of UNODC is to contribute to global peace and security, human rights and development by making the world safer from drugs, crime, corruption and terrorism by working for and with Member States to promote justice and the rule of law and to build resilient societies.

2. The mandate derives from the priorities established in relevant United Nations conventions and General Assembly resolutions, including Assembly resolutions 45/179, 46/152 and 46/185 C. The work of the Office is grounded in a series of international instruments for which the Office acts as guardian and advocate. They include the three international drug control conventions, the United Nations Convention against Corruption, the United Nations Convention against Transnational Organized Crime and the Protocols thereto, the 19 international conventions and protocols against terrorism and the United Nations standards and norms in crime prevention and criminal justice.

3. UNODC assists Member States in their efforts to combat crime in all its dimensions, in countering the world drug problem and in preventing international terrorism through: (a) normative work, including policy advocacy and legislative assistance to promote the ratification and implementation of the relevant international treaties and the provision of secretariat and substantive services to the treaty-based, governing and other Member State-driven bodies in relevant mandate areas; (b) research and policy support work to expand the evidence base, as well as its interface with the policymaking processes at the national, regional and global levels through increased knowledge and understanding; and (c) technical cooperation to enhance the capacity of Member States and other stakeholders to counteract illicit drugs, crime and terrorism at the national, regional and global levels through the Office's extensive field network and headquarters.

4. The programme of work is delivered by the three substantive divisions of UNODC, namely, the Division for Operations, the Division for Policy Analysis and Public Affairs and the Division for Treaty Affairs. Strong emphasis is placed on addressing issues that cut across subprogrammes, allowing for the leveraging of complementarities and synergies among divisions and the Office's extensive field office network. Thematic experts of the Office perform both normative and operational work, and they also facilitate the development and delivery of technical cooperation programmes at the global, regional and country levels. A fourth division, the Division for Management, is accountable for global administrative support

[2] See A/51/950, paras. 143–145.

[3] The United Nations International Drug Control Programme was established pursuant to General Assembly resolution 45/179 of 21 December 1990 as the body responsible for coordinated international action in the field of drug abuse control. Authority for the Fund of the Programme was conferred on the Executive Director by the Assembly in its resolution 46/185 C of 20 December 1991.

[4] The Crime Prevention and Criminal Justice Programme was established by the General Assembly in its resolution 46/152 of 18 December 1991. Since 1997, the Programme has been implemented by the Centre for International Crime Prevention, which was established in accordance with the Secretary-General's reform programme (see A/51/950, sect. V).

through the provision of guidance, oversight and delivery of financial services, human resources, procurement and conference management services.

5. The governing bodies of the Office are the General Assembly, the Economic and Social Council, the Commission on Narcotic Drugs and its subsidiary bodies and the Commission on Crime Prevention and Criminal Justice. UNODC also supports the International Narcotics Control Board, the United Nations Congress on Crime Prevention and Criminal Justice, the Conference of the Parties to the United Nations Convention against Transnational Organized Crime and the Conference of the States Parties to the United Nations Convention against Corruption.

6. Headquartered in Vienna, UNODC operates in all regions of the world through an extensive network of regional offices (10), country offices (7) and other field project and programme office locations (117). In addition, UNODC has two liaison offices.

7. UNODC is funded primarily by voluntary contributions to the Fund of the United Nations International Drug Control Programme and to the United Nations Crime Prevention and Criminal Justice Fund. A small portion of UNODC funding is financed from the regular budget of the United Nations approved by the General Assembly.

8. The UNODC financial statements fully incorporate the financial transactions and results of the United Nations Interregional Crime and Justice Research Institute based in Turin, Italy. The Institute was established in 1967 by the Economic and Social Council following its resolution 1086 B (XXXIX), in which the Council urged an expansion of United Nations activities in crime prevention and criminal justice. The Institute is governed by a board of trustees. The Institute is ruled by a statute adopted by the Council in its resolution 1989/56 and reports to the Secretary-General and the Council through the Commission on Crime Prevention and Criminal Justice.

Note 2
Accounting policies

Basis of preparation

9. In accordance with the Financial Regulations and Rules of the United Nations, the financial statements and accompanying notes are prepared on an accrual basis in accordance with the International Public Sector Accounting Standards (IPSAS).

10. The financial statements have been prepared on a going-concern basis. The assertion is based on the approval by the Commissions and the General Assembly of the budget requirements for the biennium 2024–2025 and the historical trend of collection of assessed and voluntary contributions over the past years.

11. These financial statements cover the calendar year ended 31 December 2024. The reporting period coincides with the calendar year.

Authorization for issue

12. The financial statements are certified by the Chief of the Financial Resources Management Service of UNODC and approved by the Executive Director of UNODC.

Functional and presentation currency

13. The functional currency of UNODC is the United States dollar, which is also the presentation currency. The statement and notes are presented in thousands of United States dollars unless otherwise indicated. The amounts in the statements and notes are rounded to the nearest thousand dollars.

14. Foreign currency transactions are translated into United States dollars at the United Nations operational rate of exchange at the date of the transaction. This rate approximates the spot rates prevailing at the dates of the transactions. Monetary assets and liabilities denominated in currencies other than the functional currency are translated at the United Nations operational rate of the exchange year-end rate. Non-monetary foreign currency items are carried at historical cost or fair value at exchange rates prevailing at the date of the transaction or when the fair value was determined. Resulting exchange gains and losses are presented in the statement of financial performance.

Materiality and use of judgment and estimates

15. The preparation of financial statements in accordance with IPSAS requires the use of estimates, judgments and assumptions. Materiality is central to the UNODC decision-making process and guides accounting treatment related to the presentation, disclosure, aggregation, offsetting and timing of application of changes in accounting policies.

16. Accounting estimates and underlying assumptions include but are not limited to actuarial measurements, asset useful lives, impairment, inflation and discount rates. These are reviewed on an ongoing basis; revisions to estimates are recognized in the year in which the changes in estimates take place.

Cash-flow convention

17. The statement of cash flow is prepared using the indirect method.

Revenue

Regular budget allocation

18. In its consolidated biennial budget, UNODC includes the regular budget resources that finance its programmatic delivery directly. The relevant sections of the regular budget of the United Nations are sections 16 and 23, which are also included in statement V, on the comparison between budgeted and actual amounts. With the exception of statement V, the IPSAS financial statements take a strict UNODC entity view and include only the regular budget resources attributable directly to the programme delivery and support of UNODC. Consequently, the IPSAS financial statements account for the portion of section 29F of the regular budget of the United Nations, which covers the support to UNODC.

19. Upon approval, the total regular budget of the United Nations is assessed to the Member States in accordance with the scale of assessments determined by the General Assembly. The management and collection of the regular budget assessments is performed centrally by the Secretariat. Consequently, UNODC does not control the individual assessment receivables and therefore does not recognize them in its financial statements, instead recognizing in its financial statements the yearly allocation utilized as revenue in the statement of financial performance.

Voluntary contributions

20. Voluntary contributions and other transfers with probable inflow of resources supported by firm enforceable pledges and that are not subject to restrictions, are recognized as revenue in full, irrespective of the duration of the agreement. Contributions subject to specific restrictions are recorded as liabilities and the revenue is recognized only when the conditions are met. Contributions and other transfers not supported by enforceable agreements are recognized as revenue only upon the receipt of cash.

21. Voluntary contributions receivable balances represent uncollected revenue from enforceable agreements and are stated at nominal value, less specific impairments, using the expected credit loss model applicable to the donor or customer type.

In-kind contributions

22. Outright in-kind contributions and donated right-to-use goods over $5,000 are recognized as revenue to the extent that future economic benefits or service potential to UNODC is probable and reliably measurable. Contributions in kind are measured initially at their fair value at the date of receipt, determined by reference to observable market values or by independent appraisals. In-kind contributions of services are not recognized as revenue but rather disclosed in the notes to the financial statements to the extent that they exceed $20,000.

Exchange revenue

23. Exchange transactions are those in which UNODC provides goods or services, such as training, software and conference management support, to governments, United Nations entities and other partners. Revenue is recognized at fair value when the goods are delivered or the services rendered. Related amounts billed but not collected are included within other receivables, and amounts collected but not yet utilized are included within advance receipts.

Investment revenue

24. The United Nations Treasury invests funds pooled from Secretariat entities and other participating entities. The investment revenue includes the UNODC share of net cash pool revenue and other interest revenue. The net cash pool revenue includes any gains and losses on the sale of investments, which are calculated as the difference between the sale proceeds and book value. Transaction costs that are attributable directly to the investment activities are netted against revenue. Net revenue is distributed proportionately to all cash pool participants on the basis of their average daily balances. Cash pool revenue also includes unrealized market gains and losses on securities. These are distributed proportionately to all participants on the basis of year-end balances.

25. The UNODC share of United Nations investment in the cash pools is reported under cash and cash equivalents, short-term investments and long-term investments, depending on the maturity period. The Office's share of investment cash pool revenue, realized gains on sale of cash pool securities and realized and unrealized gains and losses are reported in the statement of financial performance.

Expenses

26. UNODC delivers technical assistance programmes through projects in Vienna and its global network of field offices. Projects are executed through direct project delivery or through implementing partners.

27. In accordance with IPSAS, expenses are reported according to the delivery principle. Expenses are recognized on an accrual basis when goods are delivered, and services are rendered regardless of the terms of payment.

Leases

28. UNODC enters into lease arrangements for property, plant and equipment in which all the risks and rewards of ownership are not substantially transferred to UNODC. Such arrangements are classified as operating leases. Payments made under operating leases are expensed over the term of the lease.

29. Leases of tangible assets, where UNODC has substantially all the risks and rewards incidental to ownership of an asset, are classified as finance leases.

30. Assets leased under finance leases are capitalized and included in property, plant and equipment, and the corresponding liability to the lessor is included under other liabilities. A finance lease and the corresponding liability are recognized initially at the lower of the fair value of the asset or present value of the minimum lease payments. Finance charges payable are recognized over the term of the lease on the basis of the interest rate implicit in the lease so as to provide a constant rate of interest on the remaining balance of the liability.

Donated rights to use

31. Depending on the nature of the agreement, donated right-to-use arrangements can be treated as operating or finance leases. Long-term donated right-to-use building and land arrangements in which UNODC does not have exclusive control over the building and title to the land is not granted are accounted for as operating leases. The threshold for the recognition of revenue and expense for an operating lease is $20,000. UNODC normally estimates such donated rights by reference to market values for similar properties.

Assets

Financial assets measurement and classification

32. The classification of financial assets depends primarily on the purpose for which the financial assets are acquired. UNODC classifies its financial assets in one of the categories shown below at initial recognition and re-evaluates the classification at each reporting date.

Classification	*Financial assets*
Fair value through net assets/equity	Investments in cash pools
Amortized cost	Cash and cash equivalents and receivables
Fair value through surplus or deficit	Derivatives

33. Financial assets with maturities in excess of 12 months at the reporting date are categorized as non-current assets in the financial statements.

34. In accordance with IPSAS 41: Financial instruments, financial assets that meet the criteria for classification at fair value through net assets/equity are measured at fair value at each reporting date. On the basis of an assessment of their contractual cash-flow characteristics and the UNODC management model, which is to both collect contractual cash flows and sell the financial assets, any gains or losses arising from changes in fair value are recognized in the statement of net assets in the year in which they arise.

35. Financial assets at amortized cost are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They are recorded initially at fair value, plus transaction costs, and are subsequently reported at amortized cost calculated using the effective interest method. Interest revenue is recognized on a time proportion basis using the effective interest rate method on the relevant financial asset.

36. Financial assets are assessed at each reporting date to determine whether there is objective evidence of impairment. Evidence of impairment includes default or delinquency of the counterparty or permanent reduction in the value of the asset.

Impairment losses are recognized in the statement of financial performance in the year in which they arise.

37. Financial assets are derecognized when the rights to receive cash flows have expired or have been transferred along with all substantial risks and rewards. Financial assets and liabilities are offset, and the net amount is reported in the statement of financial position when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis or realize the asset and settle the liability simultaneously.

Financial assets: investment in cash pools

38. The United Nations Treasury invests funds pooled from Secretariat entities and other participating entities. These pooled funds are combined in two internally managed cash pools. Participation in a cash pool implies sharing the risk and returns on investments with the other participants. Given that the funds are commingled and invested on a pool basis, each participant is exposed to the overall risk of the investment portfolio to the extent of the amount of cash invested.

39. Investments of UNODC in the cash pools are included as part of cash and cash equivalents, current investments with maturities of between 3 and 12 months and non-current investments with maturities of more than 12 months in the statement of financial position depending on the maturity period of the investment.

40. The investment pools are subject to an expected credit loss assessment for the reporting period, and the assessment is done using Fitch Ratings, which is a provider of credit ratings, research and analysis for the global financial markets. The expected credit loss on investments is calculated using the Fitch default rating with a combination of the Fitch issuer rating and the type of issuer. The historical default rates are derived by Fitch using historical data over a period of three years. The Fitch rating by type of issuer is obtained for each investment position. The default rate is obtained from the transition matrix for the specific type of issuer (e.g., supranational, sovereign and corporate).

41. Owing to the conservative and risk-averse investment strategy/model, the United Nations invests only in highly rated instruments. Consequently, most of the investments carry a zero-default rating and there is no history of non-collection. The Organization will therefore assess expected credit loss at the end of each reporting period and recognize an impairment loss only if material.

Financial assets: cash and cash equivalents

42. Cash and cash equivalents comprise cash at bank and on hand, and short-term, highly liquid investments with a maturity of three months or less from the date of acquisition.

Financial assets: voluntary contributions receivable

43. Voluntary contributions receivable represent uncollected revenue from voluntary contributions committed to UNODC by Governments and other donors on the basis of enforceable agreements. Owing to the inherent variability of the pledged amounts, the flexibility of due dates and the relatively insignificant historical number of write-off instances, UNODC assesses the loss allowance for voluntary contributions on a case-by-case basis, therefore creating a 100 per cent loss allowance for delinquent receivables that are identified as uncollectable.

Financial assets: other receivables

44. Other receivables include primarily amounts receivable for goods or services provided to other United Nations entities, amounts receivable for leased-out assets and receivables from staff.

45. Other receivables are categorized by customer types with homogeneous characteristics, for example, with the same debt settlement patterns. The evolution of the outstanding balances is assessed over a period of years to determine the historical loss rate. The transition rate is reassessed at the end of each reporting period and applied to the outstanding accounts receivable balance to determine the loss allowance.

Advances to the United Nations Development Programme and other assets

46. Advances include advances to the United Nations Development Programme for administrative and treasury services, education grant advances and prepayments that are recorded as an asset until the goods are delivered or the services are rendered by the other party, at which point the expense is recognized.

Heritage assets

47. Heritage assets are not recognized in the financial statements; significant heritage asset transactions are disclosed in the notes thereto.

Property, plant and equipment

48. Property, plant and equipment items are stated at historical cost less accumulated depreciation and impairment. Historical cost comprises the purchase price, any costs attributable directly to bringing the asset to its location and condition, and the initial estimate of dismantling and site restoration costs. A standard rate of 12 per cent of the cost of purchase is used in place of actual associated costs. For donated assets, the fair value at the date of acquisition is utilized as a proxy for historical cost.

49. Assets utilized in the delivery of UNODC programmes or projects are categorized as project assets, whereas those used for non-project specific activities are categorized as management assets. Project assets that are not controlled by UNODC are expensed upon purchase.

50. Property, plant and equipment items are fully depreciated over their estimated useful life using the straight-line method. Land, assets under construction and project assets in transit are not subject to depreciation.

51. The estimated capitalization thresholds for the various classes of property, plant and equipment are determined by the United Nations IPSAS corporate guidance on property, plant and equipment. The estimated useful lives have been reviewed by Headquarters and have been revised prospectively, starting 1 January 2023. The table below provides a summary of the most recent estimated useful lives and capitalization thresholds for various asset classes.

Asset class and subclass	*Capitalization threshold (United States dollars)*	*Estimated useful life (years)*
Buildings[a]	20 000	7–50
Communications and information technology equipment[a]	20 000	4–10
Vehicles	5 000	6–12
Furniture and fixtures	20 000	3–10
Machinery and equipment[a]	20 000	5–20
Self-constructed assets	100 000	–
Leasehold improvements	100 000	Shorter of lease term or 5 years

[a] Lower threshold of $5,000 applies to prefabricated buildings, satellite communication systems, generators and network equipment.

52. Gains or losses resulting from the disposal or transfer of assets are reported in the statement of financial performance under other revenue or other expenses.

53. Impairment reviews for property, plant and equipment are undertaken yearly or when events or changes in circumstances indicate that carrying amounts may not be recoverable and if no indicators for impairment are identified during the year when the impairment reviews are undertaken during the annual physical verification.

Intangible assets

54. Intangible assets developed for use by UNODC are carried at cost less accumulated amortization and impairment. Capitalized costs may include acquired computer software licences, direct development costs (e.g., employee costs, costs for consultants and applicable overheads) and other costs incurred to acquire and bring the specific software to use. For donated intangible assets, the fair value at the date of acquisition is utilized as a proxy for historical cost.

55. Intangible assets with definite useful lives are fully amortized using the straight-line method over their estimated useful lives. The useful lives and thresholds of major classes of intangible assets have been estimated as follows:

Class	*Capitalization threshold (United States dollars)*	*Estimated useful life (years)*
Externally acquired software	20 000	3–10
Internally developed software	100 000	3–10
Licences and rights	20 000	2–6 (period of licence/right)
Assets under development	100 000	Not amortized

56. Impairment reviews for intangibles are undertaken yearly or when events or changes in circumstances indicate that carrying amounts may not be recoverable.

Advance transfers (to implementing partners) and grants

57. UNODC often implements programmatic activities through implementing partners, such as United Nations entities, international and regional organizations, government institutions and non-governmental organizations. Partner deliverables are agreed in joint project and programme cooperation agreements. Advance cash transfers are amounts provided up front to partners to deliver the agreed programme; they are recognized initially as assets and subsequently expensed on the basis of submitted financial reports. In the absence of such financial reports, an informed assessment is made to accrue expenses on the basis of estimates of work completion

after close consultation with the UNODC office responsible for managing the partner activities. Binding agreements to fund implementing partners not paid out by the end of the reporting period are shown as commitments under accounts payable and other accrued expenses.

58. UNODC operates outright grant schemes to end beneficiaries provided conditions in project and donor covenants so permit. Individual grant awards are limited to $60,000. Outright grants are fully expensed upon disbursement, which normally coincides with the signing of the grant award.

Liabilities

Classification

59. Financial liabilities include accounts payable, transfers payable, unspent funds held for future refunds and other liabilities, such as balances payable to other United Nations entities. Financial liabilities classified as other financial liabilities are recognized initially at fair value and subsequently measured at amortized cost. Financial liabilities with a duration of fewer than 12 months are recognized at their nominal value. The Office re-evaluates the classification of financial liabilities at each reporting date and derecognizes financial liabilities when its contractual obligations are discharged, waived, cancelled or expired.

Accounts payable and accrued liabilities

60. Accounts payable and accrued liabilities arise from the purchase of goods and services that have been received but not paid for at the reporting date. Payables are recognized and subsequently measured at their nominal value because they are, in general, due within 12 months.

Advance receipts

61. Advance receipts consist of payments received in advance relating to exchange transactions.

Employee benefits liabilities

62. Employees comprise staff members, as described under Article 97 of the Charter of the United Nations, whose employment and contractual relationship is defined by a letter of appointment subject to regulations promulgated by the General Assembly pursuant to Article 101, paragraph 1, of the Charter.

63. Employee benefits consist of short-term, long-term, post-employment and termination benefits. UNODC recognizes liabilities and accruals for:

(a) Short-term employee benefits, measured at nominal value;

(b) Post-employment benefits and termination benefits, calculated by independent actuaries using the projected unit credit method. Actuarial gains and losses arising from changes in actuarial assumptions are recognized in the statement of changes in net assets;

(c) Other long-term employee benefits, measured at nominal value;

(d) The United Nations Joint Staff Pension Fund: in line with the requirements of IPSAS 39: Employee benefits, UNODC has treated this plan as if it were a defined contribution plan. Accordingly, the Office’s contributions to the plan during the financial period are recognized as expenses in the statement of financial performance. Liabilities to the Fund are recognized only to the extent the contributions payable as at the statement date have not been settled.

Short-term employee benefits

64. Short-term employee benefits (other than termination benefits) are those payable within 12 months after the end of the year in which the employee renders the related services. Short-term employee benefits comprise first-time employee benefits (assignment grants), regular daily/weekly/monthly benefits (wages, salaries and allowances), compensated absences (paid sick leave and maternity/paternity leave) and other short-term benefits (death grant, education grant, reimbursement of taxes and home leave travel). All such benefits that are accrued but not yet paid at the reporting date are recognized as current liabilities within the statement of financial position.

Other long-term employee benefits

65. Other long-term employee benefits are those not falling due within 12 months and include annual leave.

Post-employment benefits

66. Post-employment benefits comprise payments for end-of-service benefits, including the United Nations Joint Staff Pension Fund, after-service health insurance, repatriation benefits and other end-of-service allowances.

Termination benefits

67. Termination benefits are recognized as an expense only when UNODC is demonstrably committed, without realistic possibility of withdrawal, to a formal detailed plan to either terminate the employment of a staff member before the normal retirement date or provide termination benefits as a result of an offer made in order to encourage voluntary redundancy. Termination benefits to be settled within 12 months are reported at the amount expected to be paid. Where termination benefits fall due more than 12 months after the reporting date, they are discounted if the impact of discounting is material.

Defined benefit plans

68. The following benefits are accounted for as defined benefit plans: after-service health insurance, repatriation benefits (post-employment benefits) and accumulated annual leave that is commuted to cash upon separation from UNODC (other long-term benefits). Defined benefit plans are those in which the Office's obligation is to provide agreed benefits and therefore UNODC bears the actuarial risks. The liability for defined benefit plans is measured at the present value of the defined benefit obligation. Changes in the liability for defined benefit plans, excluding actuarial gains and losses, are recognized in the statement of financial performance in the year in which they occur. UNODC has chosen to recognize changes in the liability for defined benefit plans from actuarial gains and losses directly through the statement of changes in net assets. As at the end of the reporting year, UNODC held no plan assets as defined under IPSAS 39.

69. The defined benefit obligations are calculated by independent actuaries using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using the interest rates of high-quality corporate bonds with maturity dates approximating those of the individual plans.

70. **After-service health insurance**. Worldwide coverage for medical expenses of eligible former staff members and their dependants is provided through after-service health insurance. Upon end of service, staff members and their dependants may elect

to participate in a defined benefit health insurance plan of the United Nations, provided that they have met specific eligibility requirements, including 10 years of participation in a United Nations health plan for those who were recruited after 1 July 2007 and 5 years for those recruited before that date. The after-service health insurance liability represents the present value of the share of the UNODC medical insurance costs for retirees and the post-retirement benefit accrued to date by active staff. A factor in the after-service health insurance valuation is to consider contributions from all plan participants in determining the Office's residual liability. Contributions from retirees are deducted from the gross liability, together with a portion of the contributions from active staff to arrive at the Office's residual liability in accordance with cost-sharing ratios authorized by the General Assembly.

71. **Repatriation benefits**. Upon end of service, staff who meet specific eligibility requirements, including residency outside their country of nationality at the time of separation, are entitled to a repatriation grant, which is based upon length of service, and travel and removal expenses. A liability is recognized from when the staff member joins the Office and is measured as the present value of the estimated liability for settling those entitlements.

72. **Annual leave**. The liabilities for annual leave represent unused accumulated leave days that are projected to be settled through a monetary payment to employees upon their separation from the Office. UNODC recognizes as a liability the actuarial value of the total accumulated unused leave days of all staff members, up to a maximum of 60 days (18 days for temporary staff) as at the date of the statement of financial position. The methodology applies a last-in-first-out assumption in the determination of the annual leave liabilities, whereby staff members gain access to current period leave entitlements before they gain access to accumulated annual leave balances relating to prior periods. Effectively, the accumulated annual leave benefit is accessed more than 12 months after the end of the reporting period in which the benefit arose and, overall, there is an increase in the level of accumulated annual leave days, pointing to the commutation of accumulated annual leave to a cash settlement at end of service as the true liability of the Office. The accumulated annual leave benefit reflecting the outflow of economic resources from the Office at end of service is therefore classified under the category of other long-term benefits, while it is noted that the portion of the accumulated annual leave benefit that is expected to be settled through a monetary payment within 12 months after the reporting date is classified as a current liability. In line with IPSAS 39, other long-term benefits must be valued similarly to post-employment benefits; therefore, UNODC values its accumulated annual leave benefit liability as a defined, post-employment benefit that is actuarially valued.

Pension plan: United Nations Joint Staff Pension Fund

73. UNODC participates in the United Nations Joint Staff Pension Fund, which is a funded, multi-employer defined benefit plan, established by the General Assembly to provide retirement, death and disability benefits. As specified in article 3 (b) of the Regulations of the Fund, membership in the Fund shall be open to the specialized agencies and to any other international, intergovernmental organization that participates in the common system of salaries, allowances and other conditions of service of the United Nations and the specialized agencies.

74. The plan exposes participating organizations to actuarial risks associated with the current and former employees of other organizations participating in the Fund, with the result that there is no consistent and reliable basis for allocating the obligation, plan assets and costs to individual organizations participating in the plan. UNODC and the Pension Fund, in line with the other participating organizations in

the Fund, are not in a position to identify the Office's proportionate share of the defined benefit obligation, the plan assets and the costs associated with the plan with sufficient reliability for accounting purposes. Hence, UNODC has treated this plan as if it were a defined contribution plan in line with the requirements of IPSAS 39. The Office's contributions to the plan during the financial period are recognized as expenses in the statement of financial performance.

Non-employee compensation

75. Non-employee compensation and allowances consist of expenses incurred with respect to consultants and contractors, ad hoc experts and United Nations Volunteers. Contracts are held directly with third parties or through other United Nations agency service providers. Non-employees do not earn key allowances and benefits provided to United Nations employees, such as assignment and education grants, pension, health insurance, leave and severance pay.

Provisions and contingent liabilities

76. Provisions are liabilities recognized for future expenditure of uncertain amount or timing. A provision is recognized if, as a result of a past event, UNODC has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. The amount of the provision is the best estimate of the expenditure expected to be required to settle the present obligation at the reporting date. Where the effect of the time value of money is material, the provision is the present value of the amount required to settle the obligation.

77. Any possible obligations that arise from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Office are disclosed as contingent liabilities. Contingent liabilities are also disclosed where present obligations that arise from past events cannot be recognized because it is not probable that an outflow of resources embodying economic benefits or service potential will be required to settle the obligations, or the amount of the obligations cannot be reliably measured.

78. Provisions and contingent liabilities are assessed continually to determine whether an outflow of resources embodying economic benefits or service potential has become more or less probable. If it becomes more probable that such an outflow will be required, a provision is recognized in the financial statements of the year in which the change of probability occurs. Similarly, where it becomes less probable that such an outflow will be required, a contingent liability is disclosed in the notes to the financial statements.

Commitments

79. Commitments are future expenses to be incurred by UNODC with respect to open contracts for which the Office has minimal, if any, discretion to avoid in the ordinary course of operations. Commitments include capital commitments (the amount of contracts for capital expenses that are not paid or accrued by the reporting date), contracts for the supply of goods and services that are not delivered as at end of the reporting period, non-cancellable minimum lease payments and other non-cancellable commitments.

Recent and future requirements of the International Public Sector Accounting Standards

80. The progress and impact of the following significant IPSAS Board accounting pronouncements on the UNODC financial statements continue to be monitored:

(a) Exposure draft 1: Climate-related disclosures, proposes requirements for public sector entities to disclose information about climate-related risks to and opportunities for its own operations and climate-related public policy programmes and their outcomes;

(b) Exposure draft 92: Tangible natural resources, proposes accounting for tangible natural resources and fills a gap in the Board's framework;

(c) Other IPSAS Board pronouncements issued during the year include the following:

(i) A project on concessionary leases and other arrangements conveying rights over assets, which introduced amendments to IPSAS 43, IPSAS 47 and IPSAS 48 (on, respectively, leases, revenue and transfer expenses). It was approved in June 2024 and will come into effect in January 2027. Concessionary leases are leases at below-market rate and are very common in the public sector. The goal of the project was to enhance the transparency and comparability between financial statements of entities that acquire assets or right to use assets without the exchange of consideration;

(ii) "Amendments to IPSAS Standards: Specific IFRIC Interpretations", which introduce additional guidance to clarify the application of existing accounting principles. These amendments were approved in December 2024 and will come into effect on 1 January 2026;

(iii) "Improvements to IPSAS, 2023", published in April 2024, includes minor improvements to accrual basis IPSAS that arise through publications of the International Accounting Standards Board.

81. The IPSAS Board issued the following standards, which are to be implemented on their relevant effective dates:

(a) IPSAS 43: Leases, issued in January 2022 and effective 1 January 2025;

(b) IPSAS 44: Non-current assets held for sale and discontinued operations, issued in May 2022 and effective 1 January 2025;

(c) IPSAS 45: Property, plant and equipment, issued in May 2023 and effective 1 January 2025;

(d) IPSAS 46: Measurement, issued in May 2023 and effective 1 January 2025;

(e) IPSAS 47: Revenue, issued in May 2023 and effective 1 January 2026;

(f) IPSAS 48: Transfer expenses, issued in May 2023 and effective 1 January 2026;

(g) IPSAS 49: Retirement benefit plans, approved in September 2023 and effective 1 January 2026;

(h) IPSAS 50: Exploration for and evaluation of mineral resources, approved in September 2024 and effective 1 January 2027.

82. The impact of these standards on the Organization's financial statements and the comparative period therein has been evaluated as follows:

Standard	*Anticipated impact in the year of adoption*
IPSAS 43	IPSAS 43: Leases, replaced IPSAS 13: Leases, aligning guidance with International Financial Reporting Standard 16: Leases. The newly issued standard introduces new contract and leases definitions and prescribes a right-of-use recognition and measurement model for all leases, apart from those meeting short-term and low-value exemption categories. IPSAS 43 also provides additional guidance on the application of the risks and rewards model for lessor accounting. Adoption of the standard is mandatory for the financial year ending 31 December 2025. The policy guidance is being updated for the implementation of IPSAS 43, which will be reported in the 2025 year-end financial statements. The broadened leases definition is estimated to result in the recognition of more binding arrangements as leases, with a corresponding increase in lease liabilities and right-of-use assets.
IPSAS 44	IPSAS 44: Non-current assets held for sale and discontinued operations, promulgates accounting for assets held for sale and the presentation and disclosure requirements of discontinued operations, in alignment with International Financial Reporting Standard 5: Non-current assets held for sale and discontinued operations. Adoption of the standard is mandatory for the financial year ending 31 December 2025. Given the definitions and scope of non-current assets held for sale, the recognition and measurement impacts are, on a preliminary basis, estimated as not significant for UNODC, given that the presentation and disclosure changes will depend on the identification of discontinued operations, if any, in the future, starting on 1 January 2025.
IPSAS 45	IPSAS 45: Property, plant and equipment, replaces IPSAS 17: Property, plant and equipment. IPSAS 45 changes scope exclusion for heritage property, plant and equipment, provides application and implementation guidance on infrastructure assets and captures property, plant and equipment-related measurement impacts from IPSAS 46. The measurement basis will not change, and there is no significant impact on the financial statements with the application of the updated standard.
IPSAS 46	IPSAS 46: Measurement, is the IPSAS Board's first measurement-dedicated standard that draws upon International Financial Reporting Standard 13: Fair value measurement, with the addition of public sector-specific elements, including the current operational value measurement basis. The adoption of IPSAS 46 will not change the Organization's accounting policy choice to apply the historical cost model to tangible and intangible assets.
IPSAS 47	IPSAS 47: Revenue, replaces the three existing revenue standards: (a) IPSAS 9: Revenue from exchange transactions; (b) IPSAS 11: Construction contracts; (c) IPSAS 23: Revenue from non-exchange transactions (taxes and transfers). IPSAS 47 aligns to the IPSAS Board Conceptual Framework for General Purpose Financial Reporting by Public Sector Entities and presents two accounting models on the basis of the existence of a binding arrangement. Where a binding arrangement exists, revenue accounting is aligned with International Financial Reporting Standard 15: Revenue from contracts with customers. Otherwise, the accounting model is consistent with the core principles of IPSAS 23. Adoption of the standard is mandatory for the financial reporting for the year ending 31 December 2026. The impact of IPSAS 47 will be assessed prior to the 1 January 2026 effective date of the standard.

Standard	*Anticipated impact in the year of adoption*
IPSAS 48	IPSAS 48: Transfer expenses, provides guidance on accounting for transfer expenses. The transfer expense model aligns with the Conceptual Framework and presents two accounting models on the basis of the existence of a binding arrangement. Adoption of the standard is mandatory for the financial year ending 31 December 2026. The impact of IPSAS 48 will be assessed prior to the 1 January 2026 effective date of the standard.
IPSAS 49	IPSAS 49: Retirement benefit plans, aligns to International Accounting Standard 26: Accounting and reporting by retirement benefit plans, and prescribes the accounting and reporting requirements for public sector retirement benefit plans, which provide retirement benefits to public sector employees and other eligible participants. A retirement benefit plan that prepares and presents financial statements under the accrual basis of accounting shall apply IPSAS 49. The standard does not deal with other forms of employment benefits such as employment termination benefits or health and welfare plans. Adoption of the standard is mandatory for the financial year ending 31 December 2026. The preliminary assessment is that IPSAS 49 will have no impact on financial reporting for UNODC operations.
IPSAS 50	IPSAS 50: Exploration for and evaluation of mineral resources, is aligned with the International Financial Reporting Standard 6: Exploration for and evaluation of mineral resources, and provides guidance related to the costs incurred for exploration for and evaluation of mineral resources, as well as the costs of determining the technical feasibility and commercial viability of extracting the mineral resources. The preliminary assessment is that IPSAS 50 will have no impact on financial reporting for UNODC operations.

Note 3
Segment reporting

83. A segment is a distinguishable activity or group of activities for which financial information is reported separately in order to evaluate an entity's past performance in achieving its objective and to make decisions about the future allocation of resources.

84. In segment reporting, UNODC revenue, expenses, assets and liabilities are presented by reference to two major pillars of its mandate: the United Nations International Drug Control Programme and the United Nations Crime Prevention and Criminal Justice Programme, which includes the United Nations Interregional Crime and Justice Research Institute. Activities that are not earmarked for specific programmes are reported on the basis of the performance ratio of the drug and crime programmes for the purpose of segment reporting.

85. To enhance the financial statements, UNODC also presents expenditure on a subprogramme and geographical region basis.

Segment reporting by pillars

Statement of financial position as at 31 December 2024

(Thousands of United States dollars)

	31 December 2024			*31 December 2023*		
	Drug programme	*Crime programme*	*Total*	*Drug programme*	*Crime programme*	*Total*
Assets						
Current assets						
Cash and cash equivalents	45 711	81 570	127 281	62 442	71 438	133 880
Investments	274 550	489 932	764 482	242 420	448 752	691 172
Voluntary contributions receivable	56 624	134 319	190 943	39 646	135 636	175 282
Advance transfers and other receivables	13 191	11 418	24 609	8 867	22 875	31 742
Advances to UNDP and other assets	6 796	6 814	13 610	9 296	6 955	16 251
Total current assets	**396 872**	**724 053**	**1 120 925**	**362 671**	**685 656**	**1 048 327**
Assets						
Non-current assets						
Investments	100 415	179 189	279 604	75 831	140 374	216 205
Voluntary contributions receivable	11 163	121 328	132 491	10 593	111 558	122 151
Property, plant and equipment and intangible assets	2 051	4 698	6 749	2 093	3 534	5 627
Total non-current assets	**113 629**	**305 215**	**418 844**	**88 517**	**255 466**	**343 983**
Total assets	**510 501**	**1 029 268**	**1 539 769**	**451 188**	**941 122**	**1 392 310**
Liabilities						
Current liabilities						
Accounts payable and accrued liabilities	11 217	40 652	51 869	6 543	47 572	54 115
Advance receipts	4 437	27 290	31 727	5 090	29 641	34 731
Employee benefits liabilities	2 413	6 358	8 771	3 199	6 089	9 288
Provisions	–	–	–	221	239	460
Conditional liabilities	9 282	114 987	124 269	6 344	87 644	93 988
Total current liabilities	**27 349**	**189 287**	**216 636**	**21 397**	**171 185**	**192 582**

	31 December 2024			31 December 2023		
	Drug programme	*Crime programme*	*Total*	*Drug programme*	*Crime programme*	*Total*
Non-current liabilities						
Employee benefits liabilities	35 660	87 820	123 480	48 879	75 920	124 799
Conditional liabilities	3 008	76 870	79 878	1 331	58 042	59 373
Total non-current liabilities	**38 668**	**164 690**	**203 358**	**50 210**	**133 962**	**184 172**
Total liabilities	**66 017**	**353 977**	**419 994**	**71 607**	**305 147**	**376 754**
Net of total assets and total liabilities	**444 484**	**675 291**	**1 119 775**	**379 581**	**635 975**	**1 015 556**
Net assets						
Accumulated surpluses/(deficits) – unrestricted	87 600	105 166	192 766	67 443	61 873	129 316
Accumulated surpluses/(deficits) – restricted	356 884	570 125	927 009	312 138	574 102	886 240
Total net assets	**444 484**	**675 291**	**1 119 775**	**379 581**	**635 975**	**1 015 556**

Abbreviation: UNDP, United Nations Development Programme.

Segment reporting by pillars

Statement of financial performance for the year ended 31 December 2024

(Thousands of United States dollars)

	31 December 2024			*31 December 2023*		
	Drug programme	*Crime programme*	*Total*	*Drug programme*	*Crime programme*	*Total*
Revenue						
United Nations regular budget allocation	17 322	19 858	37 180	15 836	18 821	34 657
Voluntary contributions	152 386	277 229	429 615	117 707	270 756	388 463
Other transfers and allocations	10 314	20 880	31 194	16 902	18 623	35 525
Other revenue	2 932	23 451	26 383	8 902	20 203	29 105
Investment revenue	20 092	32 244	52 336	14 926	26 748	41 674
Total revenues	**203 046**	**373 662**	**576 708**	**174 273**	**355 151**	**529 424**
Expenses						
Employee salaries allowances and benefits	51 172	127 675	178 847	49 238	112 640	161 878
Non-employee compensation and allowances	21 487	60 461	81 948	19 709	59 153	78 862
Grants and other transfers	30 010	19 576	49 586	26 087	19 821	45 908
Depreciation and amortization	390	776	1 166	318	621	939
Travel	11 520	46 575	58 095	12 586	44 692	57 278
Other operating expenses	24 986	85 041	110 027	22 348	78 710	101 058
Supplies, consumables and other expenses	2 256	2 873	5 129	2 746	2 843	5 589
Total expenses	**141 821**	**342 977**	**484 798**	**133 032**	**318 480**	**451 512**
Surplus/(deficit) for the year	**61 225**	**30 685**	**91 910**	**41 241**	**36 671**	**77 912**

Segment reporting by geographical region for the year ended 31 December 2024

(Thousands of United States dollars)

	2024	*2023*
Africa and the Middle East	115 350	112 922
Eastern and South-Eastern Europe	9 101	9 478
Global programmes	162 673	154 857
Latin America and the Caribbean	101 742	86 740
South Asia, East Asia and the Pacific	58 084	52 090
West and Central Asia	37 848	35 425
Total expenses	**484 798**	**451 512**

Segment reporting by subprogramme for the year ended 31 December 2024

(Thousands of United States dollars)

	2024	*2023*
A. Policymaking organs	523	624
B. Executive direction and management	4 923	4 620
C. Programme of work		
1. Countering transnational organized crime	171 145	163 703
2. A comprehensive and balanced approach to counter the world drug problem	57 804	53 399
3. Countering corruption	35 362	31 266
4. Terrorism prevention	24 707	23 376
5. Justice	81 166	81 501
6. Research, trend analysis and forensics	37 884	35 245
7. Policy support	9 791	8 710
8. Technical cooperation and field support	20 434	18 341
9. Provision of secretariat services and substantive support to the United Nations intergovernmental bodies, the International Narcotics Control Board and the United Nations Congress on Crime Prevention and Criminal Justice	14 261	12 705
D. Programme support	26 798	18 022
Total expenses	**484 798**	**451 512**

Note 4
Comparison to budget

86. UNODC budgets are prepared on a modified cash basis, the results of which are presented in statement V. Explanations of material differences between the revised budget amounts and actual expenditure amounts on a modified cash basis are considered in the table below.

87. The original budget for the biennium 2024–2025 of $865.899 million covers extrabudgetary resources of $811.347 million approved by the Commission on Narcotic Drugs and the Commission on Crime Prevention and Criminal Justice (see E/CN.7/2023/13-E/CN.15/2023/17), and regular budget resources of $54.552 million approved by the General Assembly (resolutions 78/254 A–C and 79/259 A–C) for

sections 16 and 23. Of the $865.899 million, the original budget for 2024 of $449.497 million is included in this statement.

88. The revised budget for the biennium 2024–2025 of $914.019 million covers extrabudgetary resources of $859.467 million approved by the Commission on Narcotics Drugs and the Commission on Crime Prevention and Criminal Justice (see E/CN.7/2024/17-E/CN.15/2024/18) and regular budget resources of $54.552 million allocated by the Secretariat and approved by the General Assembly (resolutions 78/254 A–C and 79/259 A–C) for sections 16 and 23. Of the $914.019 million, the revised budget for 2024 of $466.105 million is included in this statement.

89. The explanations on material differences of 10 per cent or more for 2024 are provided below.

Budget caption	*Material differences*
Policymaking organs	The variance of $0.356 million is attributable to lower expenditure related to the travel of representatives of the International Narcotics Control Board, the Commission on Narcotic Drugs and the Commission on Crime Prevention and Criminal Justice due to liquidity constraints.
Executive direction and management	The variance of $0.521 million is attributable mainly to the delayed recruitment of staff.
Subprogramme 4, Terrorism prevention	The variance of $2.689 million is attributable mainly to the higher-than-budgeted implementation of activities under the Global Programme on Preventing and Countering Terrorism (2022–2027) and under the regional programme for Eastern Africa.
Subprogramme 8, Technical cooperation and field support	The variance of $2.305 million is attributable mainly to the regional programme for South Asia, which contributes to subprogrammes such as justice and a comprehensive and balanced approach to counter the world drug problem.

90. The table below shows the reconciliation between the actual amounts on a comparable basis under statement V and the Office's cash flows under statement IV.

Reconciliation of actual amounts on a comparable basis to the statement of cash flows, 2024

(Thousands of United States dollars)

	Operating	*Investing*	*Financing*	*Total 31 December 2024*
Actual amounts on a comparable basis (statement V)	**(477 327)**	**–**	**–**	**(477 327)**
Basis differences	564 378	–	–	564 378
Entity differences	(8 618)	–	–	(8 618)
Presentation differences	5 213	(90 245)	–	(85 032)
Actual amounts in the statement of cash flows (statement IV)	**83 646**	**(90 245)**	**–**	**(6 599)**

91. Basis differences capture the differences resulting from preparing a budget on a modified cash basis. To reconcile the budgetary results with the statement of cash flows, the non-cash elements, such as budgetary commitments of $73.762 million (2023: $56.810 million) and payment against prior-year budgetary commitments of $64.370 million (2023: $47.047 million), are included as basis differences. In addition, other IPSAS-specific differences, such as the treatment of employee benefits and indirect cash flows relating to changes in receivables and accrued liabilities, are included.

92. Entity differences arise when the budget includes programmes that are not part of the UNODC financial statements reporting and vice versa, such as the regular budget of the United Nations, which is reported under the United Nations financial statements (volume I). The UNODC financial statements encompass a portion of the regular budget allocated to the administrative budget of the United Nations Office at Vienna in support of UNODC programme delivery (see note 18).

93. Presentation differences are the differences in the format and classification schemes between the statement of cash flows and the statement of comparison of budget and actual amounts. The latter does not include the changes in cash pool balances of $84.373 million (2023: $52.003 million). Other presentation differences include the fact that the amounts included in the statement of comparison of budget and actual amounts are not segregated into operating, investing and financing activities, such as cash flows on property, plant and equipment, including intangibles of $5.872 million (2023: $5.314 million).

94. Timing differences occur if the budget period differs from that of the financial statements. Given that the budget results under statement V reflect only the 2024 proportion of the biennium, there are no timing differences.

Note 5
Cash and cash equivalents

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Cash at bank and on hand	21	23
Cash pool cash and term deposits	127 260	133 857
Total cash and cash equivalents (statement I)	**127 281**	**133 880**

95. Cash at bank and on hand represents imprest and petty cash accounts.

96. Cash pool cash and term deposits are held for the purpose of meeting short-term cash requirements.

Note 6
Investments

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Current		
Main pool	764 482	691 172
Euro pool	–	–
Subtotal, current (statement I)	**764 482**	**691 172**

	31 December 2024	*31 December 2023*
Non-current		
Main pool	279 604	216 205
Subtotal, non-current (statement I)	**279 604**	**216 205**
Total	**1 044 086**	**907 377**

97. Investments comprise amounts held in the United Nations cash pools and comprise current investments and non-current investments. Further details on and an analysis of related exposure are provided in note 21.

Note 7
Outstanding voluntary contributions receivable and other receivables

Outstanding voluntary contributions receivable

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Current voluntary contributions receivable		
Governments	567	428
Other governmental organizations	175 263	159 979
United Nations organizations	9 815	10 060
Private donors	5 439	6 185
Total current voluntary contributions receivable before allowance	**191 084**	**176 652**
Non-current voluntary contributions receivable		
Governments	–	–
Other governmental organizations	129 296	117 319
United Nations organizations	2 681	3 544
Private donors	514	1 291
Total non-current voluntary contributions receivable before allowance	**132 491**	**122 154**
Allowance for voluntary contributions receivable, current	(141)	(1 370)
Allowance for voluntary contributions receivable, non-current	–	(3)
Total allowance for doubtful receivables	**(141)**	**(1 373)**
Net voluntary contributions receivable, current (statement I)	**190 943**	**175 282**
Net voluntary contributions receivable, non-current (statement I)	**132 491**	**122 151**
Total voluntary contributions receivable	**323 434**	**297 433**

Other receivables

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Current other receivables		
Governments	575	417
Receivables from other United Nations entities	354	185
Other revenue receivables	1 530	16 212
Total other receivables before allowance, current	**2 459**	**16 814**
Allowance for other receivables, current	(56)	(328)
Total other receivables (statement I)	**2 403**	**16 486**

Movements in loss allowances for receivables

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Opening allowance for doubtful receivables	1 701	2 893
Amounts written off[a]	(1 401)	(727)
Doubtful receivables adjustment for current year	(103)	(465)
Closing allowance for doubtful receivables	**197**	**1 701**

[a] Note 27 provides further details on the amounts written off.

Ageing of voluntary contributions receivable and other receivables

(Thousands of United States dollars)

	31 December 2024		*31 December 2023*	
	Gross receivable	*Allowance*	*Gross receivable*	*Allowance*
Neither past due nor impaired	272 713	(166)	271 198	(1 073)
Less than one year	51 258	–	42 515	(628)
One to two years	1 987	(8)	1 436	–
Two to three years	76	(23)	–	–
More than three years	–	–	471	–
Total	**326 034**	**(197)**	**315 620**	**(1 701)**

98. The balance of outstanding voluntary contributions receivable comprises pledges earmarked for specific activities.

99. All pledges that are outstanding are reviewed and an allowance is created for those that may be deemed irrecoverable.

100. Other receivables include amounts due from employees or from United Nations and other entities for goods supplied, services rendered and operating lease arrangements. A reduction in the balance is due to the full collection of the amount due from the Government of Panama on judicial system construction and capacity-building activities.

Note 8
Advance transfers

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
United Nations Office for Project Services	3 687	1 644
Advances to other United Nations entities	4 182	3 365
Implementing partners (Colombia)	10 234	7 143
Other implementing partners	4 103	3 104
Total advance transfers (statement I)	**22 206**	**15 256**

101. Advance transfers represent the funds issued to implementing partners responsible for delivering programmes on behalf of UNODC. Advances are issued on the basis of established agreements and expensed when either the service delivery is confirmed through the submission of certified financial reports by the partners or in the absence of reports. UNODC estimates an accrual for programme delivery after consultation with the relevant programme manager.

Note 9
Advances to the United Nations Development Programme and other assets

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Advances to UNDP and other United Nations entities	9 127	11 754
Advances to vendors	109	213
Advances to staff	3 927	3 034
Advances to other personnel	427	1 213
Other assets	20	37
Total advances to UNDP and other assets (statement I)	**13 610**	**16 251**

Abbreviation: UNDP, United Nations Development Programme.

102. Advances to the United Nations Development Programme and other United Nations entities are made within their capacity as service providers.

103. Advances to staff include advances for salary and entitlements, including travel advances.

Note 10
Property, plant and equipment

104. The movements and balances for property, plant and equipment of UNODC as at 31 December 2024 are provided below.

Movements and balances for property, plant and equipment, 2024

(Thousands of United States dollars)

	Buildings	*Leasehold improvements*	*Furniture and fixtures*	*Communications and information technology equipment*	*Vehicles*	*Machinery and equipment*	*Assets under construction*	*Total*
Cost								
As at 1 January 2024	1 009	512	9	1 681	8 983	2 732	–	14 926
Additions	89	–	–	888	1 821	3 074	–	5 872
Disposals[a]	(279)	–	–	(408)	(695)	(2 572)	–	(3 954)
Transfers	–	–	–	–	–	–	–	–
Cost as at 31 December 2024	**819**	**512**	**9**	**2 161**	**10 109**	**3 234**	**–**	**16 844**
Accumulated depreciation								
As at 1 January 2024	478	312	8	1 191	6 806	843	–	9 638
Depreciation	71	87	1	149	531	253	–	1 092
Disposals[a]	(20)	–	–	(25)	(163)	(162)	–	(370)
Transfers	–	–	–	–	–	–	–	–
Accumulated depreciation as at 31 December 2024	**529**	**399**	**9**	**1 315**	**7 174**	**934**	**–**	**10 360**
Net carrying amount								
As at 1 January 2024	531	200	1	490	2 177	1 889	–	5 288
As at 31 December 2024 (statement I)	**290**	**113**	**–**	**846**	**2 935**	**2 300**	**–**	**6 484**

[a] Disposals include the assets transferred to end beneficiaries as part of UNODC programme delivery.

Movements and balances for property, plant and equipment, 2023

(Thousands of United States dollars)

	Buildings	*Leasehold improvements*	*Furniture and fixtures*	*Communications and information technology equipment*	*Vehicles*	*Machinery and equipment*	*Assets under construction*	*Total*
Cost								
As at 1 January 2023	663	512	9	1 363	8 287	1 783	–	12 617
Additions	590	–	–	502	1 674	2 547	–	5 313
Disposals[a]	(244)	–	–	(190)	(978)	(1 592)	–	(3 004)
Completed assets under construction	–	–	–	–	–	–	–	–
Post-capitalization	–	–	–	6	–	(6)	–	–
Cost as at 31 December 2023	**1 009**	**512**	**9**	**1 681**	**8 983**	**2 732**	**–**	**14 926**
Accumulated depreciation								
As at 1 January 2023	403	210	6	1 173	6 580	777	–	9 149
Depreciation	108	102	2	76	457	113	–	858
Disposals[a]	(33)	–	–	(64)	(231)	(41)	–	(369)
Post-capitalization depreciation adjustment	–	–	–	6	–	(6)	–	–
Accumulated depreciation as at 31 December 2023	**478**	**312**	**8**	**1 191**	**6 806**	**843**	**–**	**9 638**
Net carrying amount								
As at 1 January 2023	260	302	3	190	1 707	1 006	–	3 468
As at 31 December 2023 (statement I)	**531**	**200**	**1**	**490**	**2 177**	**1 889**	**–**	**5 288**

[a] Disposals include the assets transferred to end beneficiaries as part of UNODC programme delivery.

105. Impairment reviews are undertaken for all classes of property, plant and equipment, and UNODC did not identify additional impairment during 2024.

Note 11
Intangible assets

(Thousands of United States dollars)

	Software internally developed	*Assets under development*	*Total*
Cost as at 31 December 2023	1 475	122	1 597
Additions	–	–	–
Disposals	–	–	–
Completed assets under development	–	–	–
Cost as at 31 December 2024	**1 475**	**122**	**1 597**
Accumulated amortization as at 31 December 2023	1 258	–	1 258
Amortization	74	–	74
Impairment and write-offs in year	–	–	–
Accumulated amortization as at 31 December 2024	**1 332**	**–**	**1 332**
Net carrying amount			
31 December 2023	217	122	339
31 December 2024 (statement I)	**143**	**122**	**265**

106. As part of its programme delivery, UNODC has developed several software products, namely, I2ES, PEN Online, goPRS and RevMod. In addition, a software product called goIFAR is under development and anticipated to be completed in 2025. The software products are provided for the use of Member States and other international organizations under service-level agreements.

Note 12
Accounts payable and accrued liabilities

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Vendor payables	19 372	16 671
Payables to other United Nations entities	408	584
Accruals for goods and services	11 268	16 336
Other	20 821	6 309
Subtotal	**51 869**	**39 900**
Accounts payable, Member States and Governments	–	14 215
Total accounts payable and accrued liabilities, current (statement I)	**51 869**	**54 115**

107. The “Other” category includes $10.910 million payable to the Bureau of International Narcotics and Law Enforcement Affairs of the United States of America.

Note 13
Advance receipts

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
United Nations Interregional Crime and Justice Research Institute training fees	853	718
National Drug Control System	1 477	1 576
Various software products for Member States and Governments	12 955	13 374
Judicial systems construction and capacity-building	15 548	18 022
Other advance receipts	894	1 041
Total advance receipts (statement I)	**31 727**	**34 731**

108. Advance receipts consist of deferred income relating to amounts received for exchange transactions not yet implemented.

Note 14
Employee benefits liabilities

Summary of employee benefits liabilities as at 31 December 2024

(Thousands of United States dollars)

	Current	*Non-current*	*Total*
After-service health insurance	715	86 939	87 654
Annual leave	1 125	10 729	11 854
Repatriation benefits	1 916	19 327	21 243
Subtotal, defined benefit liabilities	**3 756**	**116 995**	**120 751**
Accrued salaries and allowances	5 015	6 485	11 500
Total employee benefits liabilities (statement I)	**8 771**	**123 480**	**132 251**

Summary of employee benefits liabilities as at 31 December 2023

(Thousands of United States dollars)

	Current	*Non-current*	*Total*
After-service health insurance	585	88 986	89 571
Annual leave	1 177	10 885	12 062
Repatriation benefits	2 220	18 997	21 217
Subtotal, defined benefit liabilities	**3 982**	**118 868**	**122 850**
Accrued salaries and allowances	5 306	5 931	11 237
Total employee benefits liabilities (statement I)	**9 288**	**124 799**	**134 087**

109. UNODC began the funding of after-service health insurance liabilities on its activities funded by extrabudgetary resources by imposing a levy on salary costs with effect from December 2012. The level of the levy is reviewed periodically, taking into account the funding levels achieved and changes in actual versus projected participant

demographics, economic factors and medical cost trends. The current levy for after-service health insurance is 9 per cent of the gross salary plus post adjustment. The estimated duration of the after-service health insurance liability as at 31 December 2024 was 25 years.

110. The $87.654 million (2023: $89.571 million) after-service health insurance liability comprises regular budget liabilities and non-regular budget liabilities. As at 31 December 2024, $91.170 million (2023: $70.933 million) of those liabilities had been funded.

111. The Organization accrues 8 per cent on gross salary less staff assessment for staff funded from extrabudgetary resources as a reserve to cover the Organization's repatriation grant obligation. No accruals are made to cover the Organization's annual leave obligations.

112. The $33.097 million (2023: $33.279 million) repatriation liability and annual leave liability comprise regular budget liabilities and non-regular budget liabilities. As at 31 December 2024, $35.229 million (2023: $28.429 million) of those liabilities had been funded.

113. Location-specific post-employment benefits for the end-of-service allowance for General Service category staff are calculated internally at UNODC and reported within accrued salaries and allowances. They amounted to $7.060 million for 2024 (2023: $7.189 million). These end-of-service liabilities are unfunded.

114. The liabilities arising from end-of-service/post-employment benefits are determined by independent actuaries and are established in accordance with the Staff Regulations and Rules of the United Nations. An actuarial valuation is usually undertaken every two years, with a roll forward for the second year. The most recent full actuarial valuation was conducted on 31 December 2023.

Actuarial valuation: assumptions

115. The principal actuarial assumptions used to determine the employee benefits obligations as at 31 December 2024 are as follows:

Actuarial assumptions

(Percentage)

Assumptions	*After-service health insurance*	*Repatriation benefits*	*Annual leave*
Discount rates, 31 December 2024	4.20	5.59	5.58
Discount rates, 31 December 2023	3.79	4.94	4.96
Inflation, 31 December 2024	3.75–3.85	2.50	–
Inflation, 31 December 2023	3.65–3.95	2.30	–

116. Discount rates are calculated using a yield curve approach. This involves considering the yields on high-grade corporate bonds at the measurement date, as well as expected cash flows and assumed currency exposure for each zone. For 2024, the following yield curves were used: United States dollars (Aon AA Above Median Curve), euros (Aon Hewitt AA Corp Yield Curve) and Swiss francs (Aon Hewitt Swiss AA Corp. (excl. regional) Yield Curve).

117. The 2024 actuarial valuation reports a net $10.436 million actuarial gain as being a $9.699 million gain on after-service health insurance, a $0.110 million gain on repatriation benefits and a $0.627 million gain on annual leave. These actuarial

gains are attributable to changes in financial assumptions due to the increase in the discount rate.

118. The per capita claims costs were calculated on the basis of actual claims and enrolment experiences from 2018 to 2022 provided by the various third-party administrators (trended with the past medical inflation rates). The valuation of the per capita claims costs are based on an average of the adjusted per capita costs.

119. Pre-retirement mortality, as well as withdrawal and retirement assumptions, is consistent with what is used by the United Nations Joint Staff Pension Fund in making its actuarial valuation.

Movements in employee benefits liabilities accounted for as defined benefit plans

Reconciliation of opening to closing total defined benefit liability

(Thousands of United States dollars)

	2024	*2023*
Net defined benefit liability as at 1 January	122 850	105 310
Current service cost	7 409	5 879
Interest cost	4 910	4 688
Benefits paid	(3 982)	(3 081)
Total net costs recognized in the statement of financial performance	**8 337**	**7 486**
Actuarial (gain)/losses recognized in the statement of changes in net assets	(10 436)	10 054
Net defined benefit liability as at 31 December	**120 751**	**122 850**

Discount rate sensitivity analysis

120. The changes in discount rates are driven by the discount curve, which is calculated on the basis of government and corporate bonds. The bond markets varied over the reporting period, which had an impact on the discount rate assumption. Should the assumption vary by 0.5 per cent, its impact on the obligations would be as shown in the table below.

Discount rate sensitivity analysis: year-end employee benefits liabilities

(Thousands of United States dollars)

31 December 2024	*After-service health insurance*	*Repatriation grant*	*Annual leave*
Increase in discount rate by 0.5 per cent	(10 307)	(762)	(437)
As a percentage of end-of-year liability	(11.8)	(3.6)	(3.7)
Decrease in discount rate by 0.5 per cent	12 205	816	470
As a percentage of end-of-year liability	13.9	3.8	4.0

Medical cost sensitivity analysis

121. The principal assumption in the valuation of the after-service health insurance is the rate at which medical costs are expected to increase in the future. The sensitivity analysis concerns the change in liability resulting from changes in the medical cost rates while holding other assumptions, such as the discount rate, constant. Should the medical cost trend assumption vary by 0.5 per cent, it would have an impact on the measurement of the defined benefit obligations, as shown in the table below.

(Thousands of United States dollars)

2024	*Effects on the defined benefit obligations*	*Effects on current service cost and interest cost*
Increase in medical cost trend rate by 0.5 per cent	12 808	1 415
As a percentage of end-of-year liability/service and interest cost	14.6	16.9
Decrease in medical cost trend rate by 0.5 per cent	(10 869)	(1 174)
As a percentage of end-of-year liability/service and interest cost	(12.4)	(14.0)

United Nations Joint Staff Pension Fund

122. UNODC is a member organization participating in the United Nations Joint Staff Pension Fund, which was established by the General Assembly to provide retirement, death, disability and related benefits to employees. The Fund is a funded, multi-employer defined benefit plan. As specified in article 3 (b) of the Regulations of the Fund, membership in the Fund shall be open to the specialized agencies and to any other international, intergovernmental organization that participates in the common system of salaries, allowances and other conditions of service of the United Nations and the specialized agencies.

123. The Pension Fund exposes participating organizations to actuarial risks associated with the current and former employees of other organizations participating in the Fund, with the result that there is no consistent and reliable basis for allocating the obligation, plan assets and costs to individual organizations participating in the Fund. UNODC and the Fund, in line with the other organizations participating in the Fund, are not in a position to identify the proportionate share of the Office in the defined benefit obligation, the plan assets and the costs associated with the plan with sufficient reliability for accounting purposes. Therefore, UNODC has treated this plan as if it were a defined contribution plan in line with the requirements of IPSAS 39. UNODC contributions to the Fund during the financial period are recognized as expenses in the statement of financial performance.

124. It is stated in the Fund's Regulations that the Pension Board shall have an actuarial valuation made of the Fund at least once every three years by the Fund's consulting actuary. The practice of the Pension Board has usually been to carry out an actuarial valuation every two years. The primary purpose of the actuarial valuation is to determine whether the current and estimated future assets of the Fund will be sufficient to meet its liabilities into perpetuity. The Fund's published funding policy (available on the Fund's website) sets out the methods, processes and targets that are used to monitor the funding position and associated risks. This also includes the practice of utilizing an actuarial value of assets, which smooths short-term investment gains and losses for the purpose of reporting long-term solvency.

125. The UNODC financial obligation to the Fund consists of its mandated contribution, at the rate established by the General Assembly (currently at 7.9 per cent of pensionable remuneration for participants and 15.8 per cent for member organizations), together with any share of any actuarial deficiency payments under article 26 of the Regulations of the Fund. Such deficiency payments are payable only if and when the Assembly has invoked the provision of article 26, following determination that there is a requirement for deficiency payments based on an assessment of the actuarial sufficiency of the Fund as of the valuation date. Each member organization shall contribute to this deficiency an amount proportionate to the total contributions that each paid during the three years preceding the valuation date. It has never been necessary to invoke article 26, and no deficiency payments have ever been requested.

126. The most recent actuarial valuation for the Fund was completed as at 31 December 2023, and a roll forward of the participation data as at 31 December 2023 to 31 December 2024 will be used by the Fund for the purpose of reporting an actuarial present value of accumulated plan benefits in its 2024 financial statements.

127. The actuarial valuation as at 31 December 2023 resulted in a funded ratio of actuarial assets to actuarial liabilities of 111.0 per cent (117 per cent in the 2021 valuation) when future expected pension adjustments (cost-of-living indexation on benefits) were taken into account. The reported funded ratio was 152.0 per cent (158.2 per cent in the 2021 valuation) when the current system of pension adjustments was not taken into account and would be the measure by which actuarial sufficiency is established under article 26.

128. After assessing the actuarial sufficiency of the Fund, the consulting actuary concluded that there was no requirement, as at 31 December 2023, for deficiency payments under article 26 because the actuarial value of assets exceeded the actuarial value of all accrued liabilities under the plan. At the time of the drafting of the present report, the General Assembly had not invoked the provision of article 26.

129. Should article 26 be invoked owing to an actuarial deficiency, either during the ongoing operation or due to the termination of the Fund, deficiency payments required from each member organization would be based on the proportion of that member organization's contributions to the total contributions paid to the Fund during the three years preceding the valuation date. Total contributions paid to the Fund during the preceding three years (2021, 2022 and 2023) amounted to $9,499.41 million, of which 1.07 per cent was contributed by UNODC.

130. During 2024, contributions paid to the Fund by UNODC amounted to $26.739 million (2023: $23.106 million). Expected contributions due in 2025 are anticipated to be at the same level.

131. Membership of the Fund may be terminated by decision of the General Assembly, upon the affirmative recommendation of the Pension Board. A proportionate share of the total assets of the Fund at the date of termination shall be paid to the former member organization for the exclusive benefit of its staff who were participants in the Fund at that date, pursuant to an arrangement mutually agreed between the organization and the Fund. The amount is determined by the United Nations Joint Staff Pension Board on the basis of an actuarial valuation of the assets and liabilities of the Fund on the date of termination; no part of the assets that are in excess of the liabilities are included in the amount.

132. The Board of Auditors carries out an annual audit of the Fund and reports to the Pension Board and to the General Assembly on the audit every year. The Fund publishes quarterly reports on its investments, which can be viewed at www.unjspf.org.

Note 15
Provisions

133. Provisions are recorded for pending claims when it is determined that an unfavourable outcome is probable and the amount of the loss can be reasonably estimated. As at 31 December 2024, UNODC had no provisions that met the criteria (2023: $0.460 million).

Note 16
Conditional liabilities

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Liabilities (cash received)	60 601	46 101
Current liabilities (cash not received)	63 668	47 887
Total conditional liabilities, current (statement I)	**124 269**	**93 988**
Non-current liabilities (cash not received)	79 878	59 373
Total conditional liabilities, non-current (statement I)	**79 878**	**59 373**

134. Liabilities for conditional arrangements consist of cash received from the European Union and not yet utilized in the amount of $60.601 million (2023: $46.101 million). The liabilities for the cash not yet received have a contra amount reported within voluntary contributions receivable (other governmental organizations) (see note 7).

Note 17
Net assets

(Thousands of United States dollars)

	Accumulated surpluses/ (deficits) – unrestricted	*Accumulated surpluses/ (deficits) – restricted*	*Total*
Net assets as at 1 January 2023	**115 468**	**835 464**	**950 932**
Change in net assets			
Transfers to/from unrestricted/restricted reserve funds	(615)	615	–
Actuarial gain/(loss)	(10 054)	–	(10 054)
Adjustments to reserves	(836)	(2 398)	(3 234)
Surplus/(deficit) for the year	25 353	52 559	77 912
Total as at 31 December 2023	**129 316**	**886 240**	**1 015 556**
Net asset opening as at 1 January 2024	**129 316**	**886 240**	**1 015 556**
Change in net assets			
Transfers to/from unrestricted/restricted reserve funds	10 555	(10 555)	–
Actuarial gain/(loss)	10 436	–	10 436
Fair value changes in investments recognized directly in net assets	451	1 422	1 873
Surplus/(deficit) for the year	42 008	49 902	91 910
Total as at 31 December 2024 (statement I)	**192 766**	**927 009**	**1 119 775**

135. The restricted balances consist of donor contributions earmarked to specific activities.

Note 18
United Nations regular budget allocation

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Revenue		
United Nations regular budget allocation	37 180	34 657
Expenditure		
Direct programme activities	29 197	26 824
Support (administrative) activities	7 983	7 833
Total expenditure (statement II)	**37 180**	**34 657**
Excess of income over expenditure	–	–

136. UNODC activities financed by the regular budget of the United Nations focus on supporting Member States in promoting justice and the rule of law and assisting them in their efforts to combat crime in all its dimensions, preventing and combating transnational organized crime, corruption and international terrorism and countering the world drug problem through supportive workstreams such as normative work, including policy, advocacy and legislative assistance, alongside research, policy support and technical cooperation.

137. Support activities represent administrative services, including finance, human resources and procurement, provided by the United Nations Office at Vienna to UNODC under section 29F of the United Nations regular budget. Activities under that caption represent 35.4 per cent of the total administrative budget of the Office. The remainder of the administrative operations of the Office (64.6 per cent) supports other United Nations Secretariat entities residing in Vienna. For 2024, the expenses under direct programme activities consisted of $24.843 million (2023: $22.411 million) under section 16, $0.999 million (2023: $0.875 million) under section 23, $0.170 million (2023: $0.329 million) under section 35, $3.185 million (2023: $3.209 million) under section 36 and, for support (administrative) activities, $7.983 million (2023: $7.833 million) under section 29F.

Note 19
Revenue from non-exchange transactions

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Voluntary contributions		
Voluntary contributions in cash	458 523	418 684
Voluntary contributions in kind	2 702	1 741
Total voluntary contributions received	**461 225**	**420 425**
Refunds	(31 610)	(31 962)
Net voluntary contributions received (statement II)	**429 615**	**388 463**
Other transfers and allocations		
Inter-organizational arrangements	31 194	35 525
Total other transfers and allocations (statement II)	**31 194**	**35 525**

138. Voluntary contributions in kind reflect primarily donated right-to-use premises for UNODC field offices, typically provided by Governments.

139. Other transfers and allocations consist of inter-organizational arrangements, which are amounts received from other United Nations entities.

Services in kind

140. In-kind contributions of services received during the year are not recognized as revenue and are therefore not included in the above-mentioned voluntary contributions in kind. In-kind services of $0.213 million were provided, comprising technical expert services. There were no in-kind services above the materiality threshold received in 2024.

Note 20
Other revenue

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Revenue from services rendered	25 916	21 371
Rental income	132	85
Revenue producing activities and other miscellaneous revenue	335	7 649
Total other revenue (statement II)	**26 383**	**29 105**

141. Other revenue represents exchange revenue.

142. Revenue from services rendered consists mainly of the provision of software support and maintenance to Member States and Governments, training of individuals and other support services to the UNODC governing bodies, as well as the construction of judicial buildings in Panama and capacity-building activities for the Government of Panama under exchange revenue arrangements.

143. In 2024, there were net exchange losses of $4.239 million (note 27) that are reported under other operating expenses. In 2023, revenue-producing activities and other miscellaneous revenue included net foreign exchange gains of $7.566 million.

Note 21
Financial instruments and financial risk management

(Thousands of United States dollars)

Financial instruments	*31 December 2024*	*31 December 2023*
Financial assets		
Fair value through net asset/equity		
Short-term investments, main pool	764 482	691 172
Total short-term investments	**764 482**	**691 172**
Long-term investments, main pool	279 604	216 205
Total long-term investments	**279 604**	**216 205**
Total fair value through net asset/equity investments	**1 044 086**	**907 377**

Financial instruments	*31 December 2024*	*31 December 2023*
Loans and receivables		
Cash and cash equivalents, main pool	127 260	133 857
Cash and cash equivalents, other	21	23
Cash and cash equivalents	**127 281**	**133 880**
Voluntary contributions receivable	323 434	297 433
Other receivables	2 403	16 486
Other assets (excluding advances)	16	17
Total loans and receivables	**325 853**	**313 936**
Total carrying amount of financial assets	**1 497 220**	**1 355 193**
Of which relates to financial assets held in main pool	1 171 346	1 041 234
Financial liabilities at amortized cost		
Accounts payable and accrued payables (excluding deferred payables)	51 869	54 115
Total carrying amount of financial liabilities	**51 869**	**54 115**
Summary of net income from financial assets		
Investment revenue	52 336	41 674
Total net income from financial assets (statement II)	**52 336**	**41 674**

Cash pools

144. In addition to directly held cash and cash equivalents, UNODC participates in the United Nations Treasury cash pools. The United Nations Treasury is responsible for investment and risk management for the cash pools, including conducting investment activities in accordance with the United Nations Investment Management Guidelines.

145. The objective of investment management is to preserve capital and ensure sufficient liquidity to meet operating cash requirements while attaining a competitive market rate of return on each investment pool. Investment quality, safety and liquidity are emphasized over the market rate of return component of the objectives.

146. An investment committee periodically evaluates investment performance and assesses compliance with the Guidelines and makes recommendations for updates thereto.

147. Pooling of funds has a positive effect on overall investment performance and risk because of economies of scale, and the ability to spread yield curve exposures across a range of maturities. The allocation of cash pool assets (cash and cash equivalents, short-term investments and long-term investments) and revenue is based on each participating entity’s principal balance.

148. UNODC participates in two United Nations Treasury managed cash pools, specifically:

(a) The main pool, which comprises operational bank account balances in a number of currencies and investments in United States dollars;

(b) The euro pool, which comprises investments in euros. The pool participants are mostly offices of the Secretariat away from Headquarters that may have a surplus of euros from their operations.

149. As at 31 December 2024, the cash pools held total assets of $12,076.134 million (2023: $11,548.660 million), of which $1,171.346 million was attributable to UNODC (2023: $1,041.234 million), and its share of revenue from cash pools was $52.322 million (2023: $41.670 million).

Summary of assets and liabilities of the main pool as at 31 December 2024

(Thousands of United States dollars)

	Main pool
Fair value through net asset/equity	
Short-term investments	7 742 472
Long-term investments	2 882 612
Total fair value through net asset/equity investments	**10 625 084**
Loans and receivables	
Cash and cash equivalents	1 312 000
Accrued investment revenue	139 050
Total loans and receivables	**1 451 050**
Total carrying amount of financial assets	**12 076 134**
Cash pool liabilities	
Payable to UNODC	1 171 346
Payable to other cash pool participants	10 904 788
Total liabilities	**12 076 134**
Net assets	–

Summary of revenue and expenses of the main pool for the year ended 31 December 2024

(Thousands of United States dollars)

	Main pool
Investment revenue	577 165
Investment revenue from main pool[a]	**577 165**
Foreign exchange gains/(losses)	8 723
Bank fees	(733)
Operating gains (losses) from main pool	**7 990**
Revenue and expenses from main pool	**585 155**

[a] Unrealized loss from cash pools mark-to-market revaluation is reported under the statement of net assets in accordance with IPSAS 41.

Summary of assets and liabilities of the cash pools as at 31 December 2023

(Thousands of United States dollars)

	Main pool
Fair value through surplus or deficit	
Short-term investments	7 554 712
Long-term investments	2 397 703
Total fair value through surplus or deficit investments	**9 952 415**
Loans and receivables	
Cash and cash equivalents	1 485 897
Accrued investment revenue	110 348
Total loans and receivables	**1 596 245**
Total carrying amount of financial assets	**11 548 660**
Cash pool liabilities	
Payable to UNODC[a]	1 041 363
Payable to other cash pool participants	10 507 297
Total liabilities	**11 548 660**
Net assets	**–**

[a] Includes $0.129 million in cash returned by bank.

Summary of revenue and expenses of the main pool for the year ended 31 December 2023

(Thousands of United States dollars)

	Main pool
Investment revenue	488 377
Investment revenue from main pool[a]	**488 377**
Foreign exchange gains/(losses)	9 194
Bank fees	(808)
Operating gains (losses) from main pool	**8 386**
Revenue and expenses from main pool	**496 763**

[a] Unrealized loss from cash pools mark-to-market revaluation is reported under the statement of net assets in accordance with IPSAS 41.

Financial risk management: overview

150. UNODC has exposure to the following financial risks:

(a) Credit risk;

(b) Liquidity risk;

(c) Market risk.

151. The present note provides information on the exposure of UNODC to those risks, the objectives, policies and processes for measuring and managing risk, and the management of capital.

152. The United Nations Treasury is responsible for investment and risk management for the cash pools, including conducting investment activities in accordance with the Guidelines.

Risk management framework

153. The risk management practices of the United Nations are in accordance with its Financial Regulations and Rules and the Guidelines. The United Nations defines the capital that it manages as the aggregate of its net assets, which comprises accumulated fund balances and reserves. Its objectives are to safeguard its ability to continue as a going concern, to fund its asset base and to accomplish its objectives. The United Nations manages its capital in the light of global economic conditions, the risk characteristics of the underlying assets and its current and future working capital requirements.

Credit risk

154. Credit risk is the risk of financial loss resulting from a counterparty to a financial instrument failing to meet its contractual obligations. Credit risk arises from cash and cash equivalents, investments and deposits with financial institutions, as well as credit exposure to outstanding receivables. The carrying value of financial assets less allowances for expected credit loss is the maximum exposure to credit risk.

155. The investment management function is centralized at United Nations Headquarters. Other areas are not permitted, in normal circumstances, to engage in investing. An area may receive exceptional approval when conditions warrant investing locally under specified parameters that comply with the Guidelines.

156. Under the Guidelines, ongoing monitoring of issuer and counterparty credit ratings is required. Permissible cash pool investments may include, but are not restricted to, bank deposits, commercial papers, supranational securities, government agency securities and government securities with maturities of five years or less. The cash pools do not invest in derivative instruments, such as asset-backed and mortgage-backed securities or equity products.

157. In addition, under the Guidelines, investments are not to be made in issuers whose credit ratings are below specifications. The Guidelines also provide for maximum concentrations with given issuers. Those requirements were met at the time that the investments were made.

158. The credit ratings used for the cash pools are those determined by major credit-rating agencies; S&P Global Ratings, Moody’s and Fitch are used to rate bonds, certificates of deposit and discounted instruments, and the Fitch viability rating is used to rate bank term deposits. At year end, the credit ratings were as shown in the table below.

Investments of the cash pools by credit ratings as at 31 December

(Percentage)

Main pool	*Ratings as at 31 December 2024*				*Ratings as at 31 December 2023*				
Bonds (long-term ratings)					**Bonds (long-term ratings)**				
	AAA/AAAu	*AA+u/AA+/AA*	*A+*	*NA*		*AAA/AAAu*	*AA+u/AA+/AA*	*A+*	*NA*
S&P	22.2%	77.8%		–	S&P	37.1%	62.9%		
	AAA	*AA+/AA/AA-*		*NA/NR*		*AAA*	*AA+/AA/AA-*		*NA/NR*
Fitch	9.9%	69.4%		20.7%	Fitch	28.4%	53.3%	1.3%	17.0%
	Aaa	*Aa1/Aa2/Aa3*	*A1*	*NA*		*Aaa*	*Aa1/Aa2/Aa3*	*A1*	*NA*
Moody's	37.7%	53.6%		8.7%	Moody's	61.9%	30.5%		7.6%
Commercial papers/certificates of deposit (short-term ratings)					**Commercial papers/certificates of deposit (short-term ratings)**				
	A-1+/A-1					*A-1+/A-1*			
S&P	100.0%				S&P	100.0%			
	F1+/F1			*NR*		*F1+/F1*			*NR*
Fitch	97.6%			2.4%	Fitch	98.8%			1.2%
	P-1/P-2					*P-1/P-2*			
Moody's	100.0%				Moody's	100.0%			
Term deposits/demand deposit account (Fitch viability ratings)					**Term deposits demand deposit account (Fitch viability ratings)**				
	aa-	*a+/a/a-*		*NA*		*aa-*	*a+/a/a-*		*NA*
Fitch	33.7%	64.9%		1.4%	Fitch	23.8%	76.2%		

Abbreviations: NA, not available; NR, not rated.

159. The United Nations Treasury actively monitors credit ratings and, given that the Organization has invested only in securities with high credit ratings, management does not expect any counterparty to fail to meet its obligations, except for any impaired investments.

160. UNODC contributions receivable are due mainly from Member States and other United Nations entities that do not have significant credit risk.

161. UNODC evaluates the allowance for doubtful receivables at each reporting date and establishes such an allowance when there is objective evidence that it will not collect the full amount due. The movement in the allowances account during the year is shown in note 7.

162. UNODC had financial assets of $1,497.220 million as at 31 December 2024, which is the maximum credit exposure on these assets (2023: $1,355.193 million).

Liquidity risk

163. Liquidity risk is the risk that UNODC might not have adequate funds to meet its obligations as they fall due. The approach of UNODC and the United Nations to managing liquidity is to ensure that there will always be sufficient liquidity to meet liabilities when they fall due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Organization's reputation.

164. It is required under the Financial Regulations and Rules of the United Nations that expenses be incurred only after receipt of funds from donors, thereby considerably reducing the liquidity risk with regard to contributions. Exceptions to allow incurring expenses prior to the receipt of funds are permitted only if specified risk management criteria are adhered to with regard to the amount receivable.

165. UNODC and United Nations Headquarters perform cash flow forecasting and monitor rolling forecasts of liquidity requirements to ensure that sufficient cash is available to meet operational needs. Investments are made by Headquarters with due consideration given to the cash requirements for operating purposes based on cash flow forecasting. United Nations Headquarters maintains a large portion of UNODC apportioned investments in cash equivalents and short-term investments sufficient to cover the Office's commitments as and when they fall due.

166. The exposure to liquidity risk of financial liabilities is based on the notion that UNODC may encounter difficulty in meeting its obligations associated with financial liabilities. This is highly unlikely, owing to the receivables, cash and investments available to UNODC and internal policies and procedures put in place to ensure that there are appropriate resources to meet its financial obligations.

167. The cash pools are exposed to liquidity risk associated with the requirement of participants to make withdrawals at short notice. They maintain sufficient cash and marketable securities to meet participants' commitments as and when they fall due. The major portion of cash and cash equivalents and investments is available within a day's notice to support operational requirements. The cash pool liquidity risk is therefore considered low.

Interest rate risk

168. Interest rate risk is the risk of variability in financial instruments' fair values or future cash flows owing to a change in interest rates. In general, as interest rates rise, the price of a fixed-rate security falls, and vice versa. Interest rate risk is commonly measured by the fixed-rate security's duration, with duration being a number expressed in years. The longer the duration, the greater the interest rate risk. The main exposure to interest rate risk relates to the cash pools.

169. The cash pools comprise the Organization's main exposure to interest rate risk with fixed-rate cash and cash equivalents and investments being interest-bearing financial instruments. As at the reporting date, the cash pools had invested primarily in securities with shorter terms to maturity, with the maximum being less than five years (2023: four years). The average duration of the main pool as at 31 December 2024 was 0.78 years (2023: 0.65 years), which is considered an indicator of low risk.

170. The cash pools interest rate risk sensitivity analysis shows how the fair value of the cash pools as at the reporting date would increase or decrease should the overall yield curve shift in response to changes in interest rates. Given that the investments are accounted for at fair value through net assets/equity, the change in fair value represents the increase or decrease in net assets. The impact of a shift up or down of up to 200 basis points in the yield curve is shown (100 basis points equals 1 per cent). The basis point shifts are illustrative.

Main pool interest rate risk sensitivity analysis as at 31 December 2024

(Millions of United States dollars)

	Shift in yield curve (basis points)								
	-200	*-150*	*-100*	*-50*	*0*	*+50*	*+100*	*+150*	*+200*
Increase/(decrease) in fair value									
Main pool total	180.84	135.62	90.41	45.20	–	(45.20)	(90.39)	(135.57)	(180.75)

Main pool interest rate risk sensitivity analysis as at 31 December 2023

(Millions of United States dollars)

	Shift in yield curve (basis points)								
	-200	*-150*	*-100*	*-50*	*0*	*+50*	*+100*	*+150*	*+200*
Increase/(decrease) in fair value									
Main pool total	144.78	108.58	72.38	36.19	–	(36.19)	(72.37)	(108.55)	(144.73)

Market risk

171. Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and prices of investment securities will affect the income of UNODC or the value of its financial assets and liabilities. The objective of market risk management is to manage and control market risk exposures within acceptable parameters while optimizing the Office's fiscal position.

172. Currency risk refers to the risk that the fair value or future cash flows of a financial instrument will fluctuate owing to changes in foreign exchange rates. UNODC has transactions, assets and liabilities in currencies other than in its functional currency and is exposed to currency risk arising from fluctuations in exchange rates.

173. The financial assets and liabilities of UNODC are denominated primarily in United States dollars. Non-dollar financial assets related mainly to voluntary contributions in addition to cash and cash equivalents, and receivables held to support local operating activities where transactions are made in local currencies. UNODC maintains a minimum level of assets in local currencies and, whenever possible, maintains bank accounts in dollars.

174. The most significant exposure to currency risk relates to the cash pool, cash, cash equivalents and voluntary contributions. As at the reporting date, the non-United States dollar-denominated balances in those financial assets were primarily euros, Colombian pesos, Norwegian kroner, Canadian dollars and British pounds sterling. Other currencies comprise 23 different currencies, with various balances.

Currency exposure as at 31 December 2024

(Thousands of United States dollars)

	United States dollar	*Euro*	*Colombian peso*	*Norwegian krone*	*Canadian dollar*	*British pound sterling*	*Other*	*Total*
Short-term investments	764 482	–	–	–	–	–	–	764 482
Long-term investments	279 604	–	–	–	–	–	–	279 604
Cash and cash equivalents, cash pools	127 260	–	–	–	–	–	–	127 260
Cash and cash equivalents, other	–	–	12	–	–	–	9	21
Subtotal, cash pools and other holdings	**1 171 346**	**–**	**12**	**–**	**–**	**–**	**9**	**1 171 367**
Voluntary contributions receivable	95 710	146 579	30 281	9 433	18 027	7 563	15 841	323 434
Other receivables/other assets	753	–	140	–	–	543	983	2 419
Total	**1 267 809**	**146 579**	**30 433**	**9 433**	**18 027**	**8 106**	**16 833**	**1 497 220**

175. A strengthening or weakening of the foreign currency exchange rates as at 31 December 2024 would have affected the measurement of "receivables" and "cash and cash equivalents – other" denominated in a foreign currency, increasing or decreasing net assets and surplus or deficit by the amounts shown in the table below.

This analysis is based on foreign currency exchange rate variances considered to be reasonably possible at the reporting date. The analysis assumes that all other variables, in particular interest rates, remain constant.

Currency exposure sensitivity analysis as at 31 December 2024

(Thousands of United States dollars)

	Net assets/surplus or deficit	
	Strengthening	*Weakening*
Euro (10 per cent movement)	14 658	(14 658)
Colombian peso (10 per cent movement)	3 043	(3 043)
Norwegian krone (10 per cent movement)	943	(943)
British pound sterling (10 per cent movement)	811	(811)
Canadian dollar (10 per cent movement)	1 803	(1 803)
Other (10 per cent movement)	1 683	(1 683)

Other market price risk

176. UNODC is not exposed to significant other market price risk because it has limited exposure to price-related risk related to expected purchases of some commodities used regularly in operations. Therefore, a change in those prices can alter cash flows only by an immaterial amount.

177. The cash pools are not exposed to significant other price risks because they do not sell short, borrow securities or purchase securities on margin, which limits the potential loss of capital.

Classification and measurement

178. All investments in the cash pool are reported though net asset/equity. Cash and cash equivalents carried at nominal value are deemed to approximate fair value. Receivables, including non-current voluntary contributions receivable, that are reported at amortized cost calculated using the effective interest method and accounts payable are valued at amortized cost, which is a fair approximation of fair value as at 31 December 2024.

Fair value hierarchy

179. The table below provides an analysis of financial instruments carried at fair value, by the fair value hierarchy levels. The levels are defined as follows:

(a) Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities;

(b) Level 2: inputs other than quoted prices included within level 1 that are observable for the assets or liabilities, either directly (as prices) or indirectly (derived from prices);

(c) Level 3: inputs for the assets or liabilities that are not based on observable market data (unobservable inputs).

180. The fair value of financial instruments traded in active markets is based on quoted market prices at the reporting date and is determined by the independent custodian on the basis of the valuation of securities sourced from third parties. A market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service or regulatory agency, and

those prices represent actual and regularly occurring market transactions on an arm's-length basis. The quoted market price used for financial assets held in the cash pools is the current bid price.

181. The fair value of financial instruments that are not traded in an active market is determined by using valuation techniques that maximize the use of observable market data. If all significant inputs required to determine the fair value of an instrument are observable, the instrument is included in level 2.

182. The following fair value hierarchy presents the cash pool assets that are measured at fair value on the reporting date. There were no level 3 financial assets, nor any liabilities carried at fair value, nor any significant transfers of financial assets between fair value hierarchy classifications.

Fair value hierarchy for investments as at 31 December: cash pools

(Thousands of United States dollars)

Main pool

	31 December 2024			*31 December 2023*		
	Level 1	*Level 2*	*Total*	*Level 1*	*Level 2*	*Total*
Financial assets at fair value through surplus or deficit						
Bonds – corporate	94 875	–	94 875	118 115	–	118 115
Bonds – non-United States agencies	2 608 429	–	2 608 429	2 468 680	–	2 468 680
Bonds – supranational	478 759	–	478 759	770 234	–	770 234
Bonds – United States treasuries	793 328	–	793 328	1 185 059	–	1 185 059
Bonds – non-United States sovereigns	99 527	–	99 527	97 824	–	97 824
Main pool – commercial papers	–	934 677	934 677	–	510 193	510 193
Main pool – certificates of deposit	–	3 245 489	3 245 489	–	2 982 310	2 982 310
Main pool – term deposits	–	2 370 000	2 370 000	–	1 820 000	1 820 000
Total	**4 074 918**	**6 550 166**	**10 625 084**	**4 639 912**	**5 312 503**	**9 952 415**

Note 22
Employee salaries, allowances and benefits

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Salary and wages	136 883	125 220
Pension, insurance and other benefits	41 964	36 658
Total employee salaries, allowances and benefits (statement II)	**178 847**	**161 878**

183. Employee salaries, allowances and benefits include salaries, post adjustments, pension, health plans, travel costs relating to home leave, education grant, assignment grant, separation entitlements, annual leave and other entitlements.

Note 23
Non-employee compensation and allowances

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
United Nations Volunteers	9 922	8 698
Consultants and contractors	34 001	36 734
Non-employee, other	38 015	33 430
Total non-employee compensation and allowances (statement II)	**81 948**	**78 862**

184. Non-employee costs refer to contracted services from individuals on the basis of time or delivery of defined outputs. Such contracts do not carry the employment benefits to which United Nations staff are entitled.

Note 24
Grants and other transfers

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Grants to end beneficiaries	5 019	3 645
Transfers to implementing partners	44 567	42 263
Total (statement II)	**49 586**	**45 908**

185. Expenses under transfers to implementing partners relate to programmatic delivery executed on behalf of UNODC by other organizations. The amount of $44.567 million (2023: $42.263 million) represents the work delivered for the year 2024 on the basis of certified financial reports provided by the implementing partners. In the absence of certified reports, UNODC estimated the work performed by reference to the duration of the agreement and in consultation with the responsible programme managers. Related outstanding advances, which are cash transfers given to implementing partners for which work had yet to be delivered as at 31 December 2024, are shown as advance transfers in statement I (see note 8 for details). Within the total of $49.586 million in programmatic delivery by implementing partners and transfers to end beneficiaries, $21.684 million (2023: $16.091 million) relates to grant awards to farming cooperatives under alternative livelihoods programmes in Colombia.

Note 25
Supplies and consumables

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Fuel and lubricants	379	455
Rations	46	217
Spare parts	546	530
Consumables	3 763	4 382
Total supplies and consumables (statement II)	**4 734**	**5 584**

Note 26
Travel

186. Travel expenses have increased by 1.4 per cent, from $57.278 million in 2023 to $58.095 million in 2024. Travel includes staff and representative travel as shown below.

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Staff travel	27 312	27 537
Non-staff travel	30 783	29 741
Total travel	**58 095**	**57 278**

Note 27
Other operating expenses

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Contracted services	78 804	75 540
Acquisitions of goods	11 167	11 217
Acquisitions of intangible assets	1 129	1 019
Rental of offices and premises	6 055	6 103
Rental of equipment	368	439
Bad debt expense	(39)	(162)
Net foreign exchange losses	4 239	–
Contributions in kind	2 701	1 741
Other/miscellaneous operating expenses	5 603	5 161
Total other operating expenses (statement II)	**110 027**	**101 058**

187. Contracted services under other operating expenses consist of various services by individuals or institutions. Within the total of $78.804 million, $33.065 million (2023: $31.934 million) represents various contracted services for the facilitation of meetings, workshops and travel services and $8.087 million (2023: $11.257 million) represents communications and information technology services.

188. Acquisitions of goods comprise mainly low-value items for use by UNODC and end beneficiaries as part of programme delivery.

189. Bad debt expense, totalling a credit of $0.039 million, consists of write-offs totalling $1.465 million in uncollected pledges and other receivables and advances (2023: $1.029 million) and a decrease in the loss allowance of $1.504 million (2023: decrease of $1.191 million). The write-offs of uncollected pledges and receivables, totalling $1.401 million, include $0.739 million from the United States, $0.615 million from the Join United Nations Programme on HIV/AIDS, $0.019 million from the United Nations Children's Fund and other receivables of $0.028 million. In addition, write-offs of advances amount to $0.064 million.

190. Other/miscellaneous operating expenses includes $3.583 million in donations/transfers of assets (2023: $3.091 million).

Note 28
Other expenses

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Ex gratia and compensation claims	378	–
Other/miscellaneous expenses	17	5
Total other expenses (statement II)	**395**	**5**

Note 29
Related parties

Key management personnel

191. Key management personnel are those with the ability to exercise significant influence over the financial and operating decisions of the entity. The key management personnel of UNODC are the Executive Director, the Directors of the four UNODC divisions and the Director of the United Nations Interregional Crime and Justice Research Institute, given that they all have authority and responsibility for planning, directing and controlling the activities of UNODC. No close family member of key management personnel was employed by the entity at the management level. Their compensation is as follows:

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Salary and post adjustment	1 314	1 177
Other monetary entitlements	711	481
Total remuneration for the period	**2 025**	**1 658**

192. Key management personnel earn post-employment benefits at the same level as other employees. With the exception of Pension Fund benefits, post-retirement benefits cannot be reliably quantified, given that the actuarial information is presented at the entity level.

193. Other monetary entitlements include home leave, rental subsidy and pension and health insurance.

194. The key management personnel do not hold any other interests in UNODC and did not receive any loans that are not widely available to persons who are not key management personnel nor loans whose availability is not widely known by members of the public during 2024.

Related entity transactions

195. UNODC and the United Nations Office at Vienna operate under the common control of the United Nations Secretariat and share some key management personnel. The Executive Director of UNODC concurrently serves as the Director-General of the United Nations Office at Vienna. The Director of the Division for Management served as both Deputy Director-General of the United Nations Office at Vienna and Acting Deputy Executive Director of UNODC in 2024. UNODC received grants in the form of regular budget allocations from the United Nations. In addition, the United Nations Office at Vienna provides centralized support services, including

finance, human resources and procurement, to UNODC under section 29F. Note 18 provides full details. While such services are not rendered under commercial, market-based contracts, they reflect standard internal operating arrangements mandated by governance structures. In line with IPSAS 20: Related party disclosures, UNODC deems these transactions to be undertaken at arm's length, consistent with normal operating relationships under common control, and within the scope of administrative arrangements applicable to Secretariat entities.

Note 30
Leases and commitments

Operating leases

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Due in less than one year	2 003	850
Due in one to five years	1 193	460
Total minimum operating lease obligations	**3 196**	**1 310**

196. The total minimum operating lease obligations in 2024 of $3.196 million (2023: $1.310 million) consist of the non-cancellable portion of rental agreements in various UNODC field offices. The increase is attributable mainly to new and renewed rental agreements of various offices. As at 31 December 2024, UNODC had no finance leases.

Contractual commitments

197. As at the reporting date, the commitments for property, plant and equipment, intangible assets and goods and services contracted but not delivered decreased to $35.153 million (2023: $55.170 million) owing mainly to construction services performed in 2024 in the Panama office.

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Property, plant and equipment	3 706	3 128
Goods and services	31 447	52 042
Total open contractual commitments	**35 153**	**55 170**

198. As at 31 December 2024, the total value of contractual commitments amounted to $65.174 million under active agreements with implementing partners and $1.161 million under agreements with end beneficiaries. These commitments reflect the maximum further potential disbursements under existing agreements, subject to the delivery of agreed activities, the timely submission of acceptable financial and narrative reports and the continued availability of funds.

Note 31
Contingent liabilities and contingent assets

199. A contingent liability arises where there is significant uncertainty about a number of aspects regarding the liability. As at 31 December 2024, three possible claims relating to a labour dispute in a country field office remained unsettled. In the light of the privileges and immunities of the United Nations before national courts, management does not expect the resolution of the claims to have an adverse impact

on UNODC. The assessment of these cases is performed on an ongoing basis, and any changes will be reported accordingly.

Note 32
Events after the reporting date

200. The reporting date for these financial statements is 31 December 2024, and they were authorized for issuance by the Executive Director of UNODC on 31 March 2025, on which date they were also submitted to the Board of Auditors. All information relevant to the preparation of the financial statements was considered in the present document.

201. Between 24 January and 29 January 2025, UNODC received notifications from United States government counterparts regarding a 90-day suspension of foreign aid to re-evaluate their international funding priorities. The United States is a significant contributor to the Office, providing approximately 30 per cent of the organization's total voluntary funding in 2024.

202. Following the initial notifications, UNODC has been receiving updates on the status of the affected grants, with the most recent being on 27 March 2025. These updates include the lifting of suspension notices for some grants and the termination of others. However, as at the date of authorizing these financial statements, updates had not been received for all the affected grants, and the situation continues to be monitored by UNODC management closely.

203. This pause in funding has caused temporary operational disruptions to relevant projects in 2025, and the table below provides a summary of the exposure as at 31 March 2025, based on the updates received to date.

(Millions of United States dollars)

Type of notification	*Available balance*	*Uncollected pledge*	*Total*
Suspension lifted	175.5	14.9	190.4
Termination	44.5	5.6	50.1
Still under suspension	15.6	6.0	21.6
Total	**235.6**	**26.5**	**262.1**

204. Management has taken active measures to mitigate the impact of the funding pause, including reallocating bridging resources, prioritizing critical activities and engaging with other donors to secure alternative funding, where possible.

205. UNODC benefits from a diversified funding base, receiving contributions from a wide range of donors, and management is confident that the organization will continue to deliver on its strategic objectives. While the pause in funding represents a material event, it is not expected to have a long-term impact on the financial stability of UNODC or its operational capacity.

206. This event occurred after the reporting date of 31 December 2024 and is classified as a non-adjusting event under IPSAS 14: Events after the reporting date. Accordingly, no adjustments have been made to these financial statements.

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